OAM 330

Comprehensive Course Guide

Final Exam: Saturday, May 2, 2026 at 3:00 p.m.

Location: GBS 201 (Agashiwala–Lim) / GBS 204 (Liu–Zheng)

Format: Multiple-choice, cumulative across 12 modules

Instructor: Williams (Spring 2026)

All 12 modules · 4 cross-cut syntheses · master cram sheet

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Master Cram Sheet Appendix (Distractor Pairs)

Per-module distractor tables
Cross-module synthesis pairs
Numeric anchors
Exact study-guide quotes

How to Use This Guide

This is the consolidated reference companion to the OAM 330 wiki — every module's spine, traps, and visuals in one offline document. The exam is multiple-choice and cumulative across 12 modules; the highest-leverage content lives in the trap pairs and verbatim slide quotes. Read in five phases:

Phase A — Orient (15 min)

Skim this guide's Course at a Glance and Cram Sheet appendix. Confirm you can place each of the 12 modules on the Midterm 1 / Midterm 2 / Final-only map.

Phase B — Module review (60–90 min)

For each module, read "What this module is fundamentally about" first. Then study the visual. Then scan headline points and concept rows. Star anything you can't restate. If short on time, prioritize **M10, M11, M12 (new on Final)** → **M3, M5, M6 (heaviest content)** → M2, M4, M7, M8, M9 (familiar from midterms) → M1 (intro framing).

Phase C — Synthesis review (30 min)

Read the four cross-cut sections cold: Cultural differences (M4 → M9), System 1 / System 2 (M3 → M6 → M11), Decision-making biases (M3 catalog → Cialdini exploits → ethical biases), Fairness and justice (M5, M8, M9, M11). The cumulative final favors questions that span modules.

Phase D — Drill loop (60–120 min, iterative)

Take cumulative practice cold; for each miss, re-read the relevant concept page and note which sister concept tripped you up. Then drill weak modules with their dedicated session sets.

Phase E — Final cram (30 min)

Read the Master Cram Sheet (final appendix of this guide) aloud, top to bottom. Stop at any pair where you can't recite the distinguishing feature. Re-read the numeric-anchors table and the exact-quote list before walking into the exam.

> **Three highest-leverage entry points:** (1) the Distractor Pairs cram sheet — most useful single page; (2) the verbatim study-guide quotes — answer cloze stems word-for-word; (3) numeric anchors — an N or % in the stem usually reveals the right concept.

Course at a Glance

Twelve modules, organized by where they first appeared on a study guide. The **cumulative final** tests all twelve, but M10–M12 are new since Midterm 2 and deserve disproportionate review.

Scope map

Scope	Modules	Focus
Midterm 1 + Final	M1, M2, M3, M4, M5	Framing, methods, decision biases, personality & culture, motivation
Midterm 2 + Final	M6, M7, M8, M9	Influence & persuasion, power & leadership, social identity & diversity, negotiation
NEW on Final only	M10, M11, M12	Groups & teams, ethics, happiness & wrap-up

Module-by-module quick map

#	Module	Master frame / spine
M1	About OB	Three course themes; OB definition; "common sense necessary but not sufficient"
M2	Empirical Approaches	Evidence pyramid; RCT / quasi / correlational; three alternatives; three obstacles
M3	Decision Making	System 1 / System 2; biases at four stages; debiasing (Gilbert)
M4	Personality & Culture	Big 5 vs. MBTI; Hofstede; rice-vs-wheat (Talhelm)
M5	Motivation	3-pillar model: clear paths · fair process · meaningful work; Pink 2.0/3.0
M6	Influence & Persuasion	Central vs. peripheral routes; Cialdini's 6 principles
M7	Power & Leadership	Power paradox (Keltner / Obhi); KAL 801 / power distance
M8	Social Identity & Diversity	Thomas & Ely 2 paradigms; threat vs. tax; J-curve
M9	Negotiation	Distributive vs. integrative; BATNA / reservation price; Malhotra Mode A/B
M10	Groups & Teams	Six properties; punctuated equilibrium; Project Aristotle

#	Module	Master frame / spine
M11	Ethics	Want vs. should self; 4 enabling mechanisms; 5 moral foundations
M12	Happiness & Wrap-up	50/40/10 split; set-point + adaptation + comparison; 3 mega-takeaways

Course teaching timeline (when taught)

M1–M5
Pre-Midterm 1

→

M6–M9
Pre-Midterm 2

→

M10–M12
Final-only

Module 1 — About Organizational Behavior

M1 Final

What this module is fundamentally about

Module 1 is the course's framing lecture: it defines **organizational behavior** as the use of scientific methodologies to understand and predict human behavior at work, motivates *why* OB is taught in every BBA/MBA program (career success = task skills + management skills), and introduces the first of the **three course themes** ("Common sense is necessary — but not sufficient — for predicting human behavior in organizations"). It also previews the **input/outcome variable** machinery that Module 2 develops in detail. Slide 01 closes by setting up Theme 2 ("Behavior is predictable") for the next class. Almost everything in M1 is reinforced and operationalized in M2, which is why the study guide starts at "Empirical Approaches" — but the framing here recurs on the cumulative final.

Visual — Module 1 anchor quotes & framing root

The four anchor quotes (memorize verbatim — cloze-stem ready):

- *"Organizational behavior … uses **scientific methodologies** to understand and predict human behavior at work … aims to **maximize individual and organizational success**."*
- *"Common sense is **necessary** — but **not sufficient** — for predicting human behavior in organizations."*
- *"Humans aren't irrational … just **insufficiently modeled**. Human behavior is complex … but **not random**."*
- *"As long as organizations are made up of people … Success: **task skills** + **management skills**."*

M1 — framing root

↓

M2: empirical methods
operationalizes Themes 2 & 3 via the evidence pyramid

All later modules
applied content (motivation, persuasion, leadership, ethics)

Headline empirical points

- **Career success = task skills + management skills** — verbatim slide framing for *why* OB is required in every BBA/MBA program.
- **~80% of companies** use OB-style measures (engagement surveys, climate surveys, leadership 360s) and spend roughly **$2–3 billion/year**.

- **Cambridge alumni survey** — alums rated Management & Strategy courses **4.0/5** for usefulness vs. **3.5/5** for other core courses.
- **Economist Foresight 20/20 study, N = 1,656 senior executives** — surveyed what executives say drives organizational success; named-N is MCQ-bait.
- **Every top BBA/MBA program** (Stanford GSB, Haas, Kellogg, Wharton, HBS, Booth) requires an OB-style course — universal, not optional.
- **Theme 1 verbatim:** "Common sense is necessary — but not sufficient — for predicting human behavior in organizations."
- **Williams' irrationality framing:** "Humans aren't irrational … just **insufficiently modeled**." "Human behavior is complex … but **not random**."
- **OB definition (slide):** "Organizational behavior … uses scientific methodologies to understand and predict human behavior at work … aims to maximize individual and organizational success."
- **Goals of OB (3): predict** behavior, **influence** behavior, rely on **empirical evidence** over hearsay/intuition.
- **Slide 20–21 preview:** input (independent) variable / outcome (dependent) variable framing; "a sufficiently complex model" sums many inputs to predict the outcome.

Concepts

Slug	Term	Gloss
`concepts/why-ob-matters-task-vs-management-skills`	**Why OB matters**	Williams' justification for OB's place in the BBA/MBA core: career success = task skills + management skills (Economist Foresight 20/20, Cambridge alumni survey, top-school course list).
`concepts/ob-definition-and-goals`	**OB definition & goals**	OB as the systematic, empirical study of behavior in organizations; goals are predict, influence, and rely on empirical evidence over hearsay or intuition.
`concepts/three-course-themes`	**Three course themes**	Theme 1 (common sense necessary but not sufficient) is introduced today; Themes 2 (behavior is predictable) and 3 (empirical evidence outperforms other types) are previewed.
`concepts/input-outcome-variables`	**Input/outcome variables**	Slide 20–21 previews the input (independent) / outcome (dependent) variable framing; a sufficiently complex model sums many inputs to predict the outcome.

Assigned readings

Slide 01 directs students only to obtain a notebook and complete the two M2 readings. ***No readings tied to M1 itself.***

Reading-specific testable points

- **No readings are assigned for M1** — slide 01 directs students only to obtain a notebook and complete the two M2 readings. No reading-only terms can appear on M1 stems for that reason.

- The closest "reading-flavored" testable item belongs to M2's `readings/fisher-trouble-with-mbas` (*Fortune* — Welch at MIT Sloan, GMAC recruiter survey, Chicago Booth communications course) which is itself the empirical case *for* the M1 framing.
- For M1 specifically, all testable material lives in the lecture deck — the four-bullet anchor-quote list is the reading substitute.

High-yield MCQ traps

- **"Common sense is ___ but not ___"** cloze — fill with **necessary / sufficient**. Distractor: "useful but not relevant," "necessary but not important."
- **"Humans aren't irrational, just ___"** cloze — fill with **insufficiently modeled**. Distractor: "predictably irrational" (Ariely's phrase, NOT Williams').
- **"Behavior is complex ... but ___"** cloze — fill with **not random**. Distractor: "but learnable," "but trainable."
- **Why OB is taught in every B-school** — answer = success requires task skills **AND** management skills.
- **Number of course themes** — exactly **three**, not four.
- **OB vs. HR confusion** — OB is the underlying behavioral science; HR is one applied domain that uses it.
- **OB goals (3):** predict / influence / use empirical evidence. Distractor: "control," "maximize profit," "manage diversity."
- **Theme 1 vs. Theme 3 confusion** — Theme 1 = common sense is *insufficient*; Theme 3 = the *better alternative* is empirical evidence.
- **IV vs. DV mapping** — DV *depends on* the IV. Trap: swapping which is which on a study-description stem.

Likely exam patterns

- **Cloze / verbatim-quote stems** — the dominant M1 question type. Memorize the four anchor quotes word-for-word.
- **Definition-match stems** for OB: the right answer always names *systematic/empirical* study + *organizations*.
- **Theme-recognition stems** — Williams gives a quote/example and asks which of the three themes it expresses.
- **"Why is OB required?" stems** — the right answer always pairs **task skills** with **management skills**.
- **N-recall stems** — Cambridge **4.0 vs. 3.5**, Economist **N = 1,656**, top-school list.

Module 2 — Empirical Approaches to OB

M1 Final

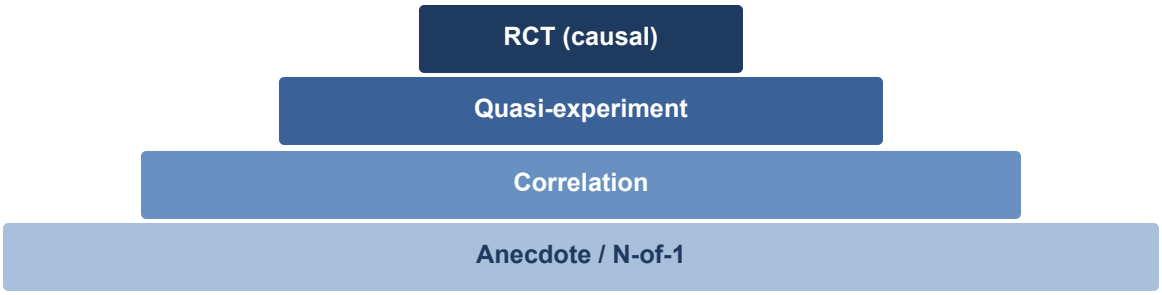
What this module is fundamentally about

Module 2 is the **methods spine** of the course: how do we know what we know about behavior in organizations? Williams introduces the three course themes — common sense is necessary but not sufficient, behavior is predictable, and **empirical evidence outperforms other types** — and then operationalizes Theme 3 by walking up the evidence pyramid from anecdote to RCT.

Two reasons empirical evidence wins: (1) the **N of 1 problem**, and (2) **correlation ≠ causation** (with three alternative explanations: spurious, reverse direction, third variable). Only a **randomized controlled trial** with **random assignment** can establish causation. When experiments aren't possible (impractical, impossible, or unethical), OB falls back on **quasi-experiments** or **correlational studies**, which require explicit **control variables** to rule out third-variable confounds.

The biggest MCQ landmines: random assignment vs. random sampling; the three (not four) alternative explanations; and distinguishing RCT vs. quasi-experiment vs. correlational study.

Visual — the evidence pyramid



"The higher up you go, the more accurately you can predict the **NEXT** event."

3 alternatives to causation

- **Spurious** — coincidence, no mechanism
- **Reverse causal direction** — Y causes X
- **Third variable** — Z causes both

NOT: measurement error · selection bias · chance

3 obstacles to experimentation

- **Impractical**
- **Impossible**
- **Unethical**

NOT a 4th category: "expense" (subsumed under impractical)

Headline empirical points

- **The three course themes (verbatim):** (1) "Common sense is necessary — but not sufficient — for predicting human behavior in organizations." (2) "Behavior is predictable." (3) "Empirical evidence

outperforms other types."

- **The three alternative explanations to "X causes Y" (slide 25):** spurious / reverse causal direction / third variable. Exactly three.
- **The three obstacles to experimentation (slide 14):** impractical / impossible / unethical. Exactly three.
- **Evidence pyramid order (bottom → top):** anecdote / N-of-1 → correlation → causal/RCT.
- **Two reasons empirical evidence wins:** Reason #1 = N-of-1 problem; Reason #2 = correlation-vs-causation.
- **Two RCT criteria (slide 8):** (1) experimenter has **control over the IV**, (2) **random assignment** to conditions including a control/comparison group.
- **Harrah's casino RCT (slide 11):** $60 chips (experimental) vs. $125 promo package = room + 2 steak dinners + $30 chips (control). $60 offer generated **more revenue at lower cost**.
- **N-of-1 examples:** Steve Jobs' turtleneck, GE's rank-and-yank, "Herb Kelleher drinks Wild Turkey." Pfeffer & Sutton's mockery of benchmarking from a single company.
- **Reading-to-kids correlation (slide 18–19):** possible third variables to control: parents' reading enjoyment, books in home, free time, library distance, parental income.
- **Slide 20:** "More memorable ≠ more useful."

Concepts

Defining OB

`concepts/ob-definition-and-goals`	**OB definition & goals**	Systematic, empirical study of behavior in organizations; goals are predict, influence, and rely on empirical evidence.
`concepts/input-outcome-variables`	**Input/outcome variables**	IV (input/predictor) vs. DV (outcome being predicted); a sufficiently complex model sums many inputs.
`concepts/three-course-themes`	**Three course themes**	Common sense is necessary but not sufficient (T1); behavior is predictable (T2); empirical evidence outperforms (T3).
`concepts/empirical-evidence-utility`	**Empirical evidence utility**	Systematic observation/testing; outperforms hearsay, intuition, authority, anecdote — more memorable ≠ more useful.

Why empirical evidence wins

`concepts/n-of-1-problem`	**N-of-1 problem**	Reason #1: you can't generalize from a single case (Steve Jobs' turtleneck, GE's rank-and-yank, Herb Kelleher's Wild Turkey).
`concepts/correlation-vs-causation`	**Correlation vs. causation**	Reason #2: even reliable correlations don't prove causation; only an RCT with random assignment does.
`concepts/alternative-explanations-correlation`	**3 alternative explanations**	Spurious / reverse direction / third variable — NOT measurement error or selection bias.

`concepts/evidence-hierarchy`	**Evidence hierarchy**	Pyramid from anecdote → correlation → causal/RCT; "the higher up you go, the more accurately you can predict the NEXT event."

Methods

`concepts/rcts-experiments`	**RCTs / experiments**	Only design that supports causation; control over IV + random assignment to conditions including a control/comparison group (Harrah's $60 vs. $125).
`concepts/random-assignment`	**Random assignment**	Equal-chance allocation to conditions; averages out irrelevant variables. **Not** the same as random sampling.
`concepts/experiment-obstacles`	**3 experiment obstacles**	Impractical, impossible, unethical (personality traits, regional offices, salary).
`concepts/quasi-experiments-correlational`	**Quasi-experiments & correlational**	Quasi uses natural/existing divisions (no random assignment); correlational measures variables as they exist.
`concepts/control-variables`	**Control variables**	Measured covariates added to a regression to *rule out* alternative (third-variable) explanations.

Assigned readings

- `readings/fisher-trouble-with-mbas` — *Fortune*; B-schools shifting away from pure quant toward interpersonal/soft skills (Welch at MIT Sloan, GMAC recruiter survey, Chicago Booth communications course) — i.e., toward OB content.

Reading-specific testable points

- **Soft skills** — communication, teamwork, listening, persuasion, mentoring; the umbrella label for what corporate recruiters say MBAs lack.
- **Jack Welch at MIT Sloan (2005)** — told students to "just concentrate on networking — everything else you can learn on the job." Dean Schmalensee was stunned; this triggered MIT's curriculum rethink.
- **GMAC's annual recruiter survey (since 2002)** — every year, recruiters say MBAs lack the ability to write and speak clearly and persuasively.
- **Chicago Booth required course** = communications + team-building, taught by trained second-years; plus "Spring Launch" people-skills seminar.
- **Wharton leadership program** — one-on-one professional coaching; enrollment nearly doubled (50 → 90).
- **Tuck (Dartmouth)** — required microfinance course on global poverty.
- **Yale SOM** — required first-year course on planning a career.
- **Double bottom line** — financial return *and* ethical/social impact.
- **Two customers** — B-schools respond to **corporate recruiters** AND **students**.
- **Directional shift** — moving from pure quant toward soft skills counts as an empirical case *for* OB content.

High-yield MCQ traps

- **Random assignment vs. random sampling** — the single biggest M2 landmine. Assignment = how subjects go into conditions (internal validity). Sampling = how subjects are selected from a population (external validity).
- **RCT vs. quasi-experiment vs. correlational** — RCT manipulates IV + randomly assigns; quasi uses natural/existing division; correlational only measures variables.
- **The three alternative explanations** — exactly three: spurious / reverse direction / third variable. If the stem says "four alternatives," the answer is wrong.
- **Three obstacles to experimentation** — exactly three: impractical / impossible / unethical. Trap distractor: "expense" as a 4th category.
- **N-of-1 vs. correlation problem** — N-of-1 = not *enough* cases (Reason #1); correlation = even with many cases, can't infer causation (Reason #2).
- **Control variables vs. control group** — control variable = measured covariate in regression. Control group = no-treatment condition in experiment.
- **Control variables vs. random assignment** — random assignment handles all confounds (including unmeasured); controls only handle measured ones.
- **Spurious vs. third variable** — spurious = literal coincidence (no mechanism). Third variable = there *is* a cause, but it's a hidden Z.
- **More memorable ≠ more useful** — anecdotes are sticky but low on the pyramid.
- **OB vs. common sense** — common sense is *necessary but not sufficient*.

Likely exam patterns

- **Definition-match stems** — "Which of the following best describes a quasi-experiment?" Memorize one-line definitions for each method.
- **Exact-list recognition stems** — "Which is NOT one of the three alternative explanations?" The trap is always a real concept that's just not on Williams' list.
- **Random-assignment-vs-sampling distractor** — almost guaranteed. Practice "internal validity / external validity" cold.
- **Scenario-classification stems** — "natural division" → quasi; "manipulated + randomly assigned" → RCT; "measured as they exist" → correlational.
- **Verbatim-quote / cloze stems** for the three themes and irrationality framing.
- **N-of-1 vignette stems** — Steve Jobs / GE / Herb Kelleher; right answer is "this is N-of-1 reasoning."

Module 3 — Decision Making

M1 Final

What this module is fundamentally about

Master frame: System 1 vs. System 2 (Kahneman). Two cognitive systems run *simultaneously* — System 1 fast/automatic/limbic, System 2 slow/effortful/prefrontal — and System 2 frequently doesn't know when System 1 is operating. Every bias in this module is a **System 1 malfunction** the conscious System 2 fails to catch. Slides explicitly: *"We frequently think we are making a more rational, data-driven decision than we are."*

The module is organized around four stages of decision making with biases at each, plus a debiasing layer. Recurring across the rest of the course: System 1/System 2 returns in Influence & Persuasion (peripheral route = System 1 cues) and Ethics (ethical fading is System 1).

Visual — 4 stages of decision making with biases at each

1. Perception	**Perception ≠ reality** · **Motivated perception** (Bruner & Goodman, horse-or-seal) · **Self-fulfilling prophecies** (HOT/NOT, Pygmalion)
2. Evidence-handling	**Availability heuristic** (9/11 driving) · **Confirmation bias** (introvert/extravert questions) · **Halo effects** (CEO trait flip)
3a. Decision (ego-protective)	**Overconfidence** (Dunning-Kruger, planning fallacy) · **Hindsight bias** (Playboy 32→66%)
3b. Decision ("not computers")	**Anchoring** (Gandhi 114/35) · **Framing** (Asian disease 81/76) · **Sunk cost** (Concorde, Vietnam)
4. Debiasing	Gilbert: "the only reliable method for avoiding bias is to **avoid the situations** that produce it." Awareness alone fails.

Sister-bias confusion table

Pair	Distinguishing feature
Availability vs. Confirmation	Availability = passive recall ease. Confirmation = active seeking.
Anchoring vs. Framing	Anchoring shifts a starting number (magnitude). Framing flips risk preference (gain/loss).
Overconfidence vs. Hindsight	Overconfidence = forward ("I'll predict right"). Hindsight = backward ("I knew it all along").
Halo vs. Self-fulfilling prophecy	Halo = perceiver-side trait generalization. SFP = target's actual behavior changes.

Pair	Distinguishing feature
Motivated perception vs. Confirmation	Motivated perception bends what we see (input stage). Confirmation bends what we seek (evidence stage).
Anchoring vs. Sunk cost	Anchoring = initial reference number. Sunk cost = past investment of money/time/effort.

Headline empirical points

- **Availability — 9/11 driving fatalities: 2,170** additional fatal car accidents — nearly matching the **2,606** Twin Towers deaths.
- **Framing — Asian disease problem (Kahneman & Tversky):** lives-saved frame → **81%** pick the sure thing; deaths frame → **76%** pick the gamble. Mathematically identical. $\chi^2(N=57) = 14.92$, $p < .001$.
- **Framing — gain/loss gamble:** "$900 sure" vs. "90% chance to get $1,000" → **79%** sure (risk-averse for gains); "lose $900 sure" vs. "90% chance to lose $1,000" → **81%** gamble (risk-seeking for losses).
- **Anchoring — Gandhi study:** "more/less than **114**" → mean estimate **79.4 yrs**; "more/less than **35**" → mean estimate **70.7 yrs**. $F(1,63) = 6.90$, $p = .01$.
- **Anchoring — iPad pricing:** Apple announced "just **$499**" after pundits anchored on under-$1,000 → felt cheap by contrast.
- **Hindsight — Playboy circulation study:** without answer shown, **32%** picked Playboy; with the answer in boldface, **66%** "knew" Playboy was the answer. $\chi^2(N=57) = 6.35$, $p = .017$.
- **Motivated perception — Bruner & Goodman 1947: 50/50** split when not tied to outcomes; **70%** "saw" the animal that led to orange juice.
- **Halo — outcome-based CEO trait flip:** successful company → CEO described as *"flexible, methodical, decisive"*; failing company → *"confused, rigid, authoritarian."* Same kind of CEO.
- **Overconfidence — better-than-average effect (slide demo, N=63):** OAM 330 students rated own niceness 3.9, driving 3.6, academic ability 3.8 (all above the 3.0 midpoint).
- **Planning fallacy — Buehler:** even at **99% confidence**, fewer than half of student projects finish on time.
- **Reference-class forecasting — UK DfT 2004:** average overruns dropped to **~7%** after mandated outside-view forecasting (Flyvbjerg).
- **Gilbert (2006), verbatim:** "Because the brain cannot see itself fooling itself, the only reliable method for avoiding bias is to **avoid the situations that produce it**."
- **Slide framing:** "We frequently think we are making a more rational, data-driven decision than we are."

Concepts

Perception-stage biases

`concepts/perception-vs-reality`	**Perception vs. reality**	Perception ≠ reality; the input is biased before any thinking starts (optical illusions, "what do you see?" priming).
`concepts/motivated-perception`	**Motivated perception**	We see what we expect or want to see (Bruner & Goodman 1947; horse-or-seal study went from 50/50 to 70%).

`concepts/self-fulfilling-prophecies`	**Self-fulfilling prophecies**	Expectations change the target's actual behavior, which then "confirms" the expectation ("HOT! NOT." voice study; Pygmalion).

Evidence-handling biases

`concepts/availability-heuristic`	**Availability heuristic**	Judging by what comes easily to mind (9/11 driving fatalities: 2,170 vs. 2,606 Twin Towers deaths).
`concepts/confirmation-bias`	**Confirmation bias**	Actively seeking confirming, not disconfirming, evidence (introvert/extravert interview-question study).
`concepts/halo-effects`	**Halo effects**	One good trait → assumed good elsewhere (Kahneman's "exaggerated emotional coherence"; CEO trait-flip; attractiveness/height earnings premium).

Decision-stage (ego-protective)

`concepts/overconfidence`	**Overconfidence**	Wildly overconfident in our abilities and predictions; includes Dunning-Kruger (less skill → MORE overconfidence), planning fallacy, better-than-average.
`concepts/hindsight-bias`	**Hindsight bias**	"Knew it all along"; outcome reshapes recalled prior belief (Playboy 32% → 66%).

Decision-stage ("not computers")

`concepts/anchoring-bias`	**Anchoring bias**	Initial number contaminates numeric estimate (Gandhi 114 vs. 35 → 79.4 vs. 70.7; iPad "$499").
`concepts/framing-and-risk`	**Framing & risk**	Gain frame → risk-averse, loss frame → risk-seeking, even with identical net outcomes (Asian disease).
`concepts/sunk-cost-fallacy`	**Sunk-cost fallacy**	Over-weighting past investment (lost-ticket vs. lost-cash mirror; Concorde, Vietnam, William Chan).

Debiasing

`concepts/reducing-decision-biases`	**Reducing decision biases**	Five fixes: be aware (insufficient), allow time, broaden samples, present multiple ways, minimize ego stakes; awareness alone is not enough.
`concepts/reference-class-forecasting`	**Reference-class forecasting**	Flyvbjerg's operationalized outside view; UK DfT 2004 dropped average overruns to ~7%.

Assigned readings

- `readings/dobelli-art-of-thinking-clearly` — *The Art of Thinking Clearly*, Ch 5 (sunk cost) and Ch 14 (hindsight); Concorde, Vietnam, occupied-Paris diary; awareness alone fails.
- `readings/freakonomics-planning-fallacy` — *Freakonomics Radio*; planning fallacy as a sub-bias of overconfidence; reference-class forecasting via Flyvbjerg, Milkman's algorithm aversion.

- `readings/kahneman-dont-blink` — *NYT Magazine*; **illusion of validity** / **illusion of skill** from Israeli Army officer-selection and stock pickers.

Reading-specific testable points

Dobelli (Ch 5 sunk cost & Ch 14 hindsight)

- **Concorde effect** — alias for sunk-cost fallacy; Britain & France kept funding the supersonic-jet failure to save face.
- **Need for consistency** — Dobelli's psychological engine of sunk-cost behavior.
- **Great-uncle's diary in occupied Paris (1940)** — predicted Germans would leave by year-end; occupation lasted 4 years.
- **2007 economists / 2008 crash** — same experts then list the "obvious" causes; causes look inevitable only after the fact.
- **Awareness-alone-fails refrain** — directly supports the Gilbert quote on the slide.

Freakonomics Radio

- **Reference-class forecasting** (Flyvbjerg) — UK DfT 2004 → ~7% overruns.
- **Algorithm aversion** (Milkman) — refusing to defer to a model even when more accurate.
- **Buehler's 99%-confidence studies** — fewer than half of student projects finish on time.
- **Strategic misrepresentation** — deliberate (not innocent) lowballing.
- **Implementation intentions** — concrete when/where/how plans.
- **Inside view vs. outside view** (Kahneman & Tversky).
- **Second Avenue Subway** — 1968 plan = 8.5 mi, 15 stations; 2016 reality = 2 mi, 3 stations, ~48 yrs late, $4.5B.
- **Christmas-shopping study** — more *detailed* planning produced more *optimistic* (less accurate) forecasts.
- **Optimism bias** (Sharot) — systematic expectation of rosier futures than evidence warrants.

Kahneman — "Don't Blink!"

- **Illusion of validity** — subjective sense of accuracy driven by impression coherence, not predictive power.
- **Illusion of skill** — collective overconfidence in low-validity domains (8-year stock-picker review with year-to-year correlations near zero).
- **Substitution** — System 1 substitutes an easier question for the hard one.
- **Algorithms beat intuition** — in low-validity environments, simple statistical rules outperform expert judgment.
- **Israeli Army leaderless group task** — confident judgments barely better than chance.

High-yield MCQ traps

- **Availability vs. Confirmation** — availability = passive recall; confirmation = active seeking. The single most common M3 distractor pair.
- **Anchoring vs. Framing** — anchoring shifts a starting number; framing shifts risk preference.
- **Anchoring vs. Sunk cost** — anchoring = initial reference number; sunk cost = past investment.

- **Overconfidence vs. Hindsight** — forward vs. backward.
- **Halo vs. SFP** — halo is perceiver-side trait generalization; SFP is real behavioral change in the target.
- **Halo vs. Hindsight** — halo recolors traits of the actor; hindsight recolors predictability of the outcome.
- **Halo vs. Confirmation** — halo generalizes across traits of one target; confirmation generalizes evidence search.
- **Perception vs. reality vs. Motivated perception** — perception/reality is the general claim; motivated perception is the desire-shaped subtype.
- **Motivated perception vs. Confirmation** — motivated perception bends what we see; confirmation bends what we seek.
- **Sunk cost vs. Framing** — sunk cost = pull of already-spent resources; framing = present option presentation.
- **Dunning-Kruger direction — less skill → MORE overconfidence**. Students often invert this.
- **System 1/System 2 sequentially?** NO, **simultaneously**.
- **"Just be more aware" debiasing — wrong**. Gilbert: avoid the situations that produce the bias.

Likely exam patterns

- **Scenario-application stems** — most common type. Memorize one trigger phrase per bias.
- **Comparison stems for sister biases** — practice the distinguishing feature aloud for each.
- **Numeric-recall stems** — quote a headline anchor (2,170/2,606; 81%/76%; 79.4 vs. 70.7; 32% → 66%; ~7% UK DfT) and ask which bias.
- **"How would you reduce this bias?"** — "be more aware" is wrong. Right answers are structural.
- **Verbatim-quote / cloze stems** — "exaggerated emotional coherence" (halo); "brain cannot see itself fooling itself" (Gilbert).
- **Reading-specific stems** — Concorde effect → sunk cost; reference-class forecasting / 99%-confidence → planning fallacy; illusion of validity / illusion of skill / substitution → expert overconfidence.

Module 4 — Personality & Culture

M1 Final

What this module is fundamentally about

Two questions: **(1) Who are people, individually?** and **(2) How does culture shape what people value and how they behave?** Williams's spine: companies spend billions trying to measure personality (~80% of companies; $2–3B/yr), but most popular tools (esp. MBTI) are weak; the empirically grounded **Big 5 / OCEAN** is modestly predictive — strongest for **Conscientiousness**. On the culture side: **values** ("should") sit alongside traits ("is"), vary systematically with geography, economics, climate, religion, and crop type (rice vs. wheat — Talhelm 2014), and produce real differences across **Hofstede dimensions**, especially **individualism vs. collectivism**.

The core MCQ distractor pair: Big 5 vs. MBTI. Big 5 = empirical, continuous, predictive. MBTI = popular, dichotomous, weak. **Barnum effect** explains why MBTI feels accurate even when retest reliability is poor.

Visual — Big 5 vs. MBTI side-by-side

Dimension	Big 5 (OCEAN)	MBTI
Empirical basis	Bottom-up via lexical hypothesis; replicated across cultures	Top-down theory (Jungian); not empirically derived
Structure	5 continuous dimensions everyone scores on	4 dichotomies → 16 types
Test-retest reliability	High and stable	**~50% reclassify within weeks** (Grant)
Predictive validity	Modest but reliable; Conscientiousness ~.20–.25 across jobs	Weak; fails predictive validity tests
Slide verdict	The empirically grounded standard	"As useful as a polygraph for measuring honesty" (Grant)

OCEAN traits — job-performance correlation strength

Trait	One-line	Job-performance correlation
Openness	Curiosity, new experiences	Contingent (creative roles)
Conscientiousness	Self-discipline, orderliness	**~.20–.25 across the board** (only consistent predictor)
Extraversion	Sociability, assertiveness	Contingent (sales, leadership)
Agreeableness	Warmth, cooperativeness	Contingent (teamwork roles)
Neuroticism	Emotional instability	Contingent (low N for high-stress)

Headline empirical points

- **~80% of US companies** use personality testing; the industry spends **$2–3B/yr** — widespread ≠ valid.
- **~50% MBTI reclassification** within weeks on retest (Grant) — canonical fail statistic.
- **Conscientiousness** is the only OCEAN trait that predicts job performance across the board (**~.20–.25**); the other four are contingent.
- **~15% pay premium** from person–job personality fit; choose the right context, don't try to change traits.
- **Talhelm 2014 (rice-vs-wheat)** — within-China crop labor demands generate persistent collectivist (rice) vs. individualist (wheat) patterns even in modern urban office workers.
- **Gosling's three trace types** — *identity claims* / *feeling regulators* / *behavioral residue* let you read OCEAN from spaces and possessions.
- **Narcissism is cultivated by individualistic cultures** — narcissists *emerge* as leaders disproportionately but don't *perform* better.
- **Big 5 emerged bottom-up via the lexical hypothesis** — adjective clustering across languages.
- **HEXACO model** (Grant alternative) — adds Honesty-Humility as a sixth factor.

Concepts

Personality testing

`concepts/personality-testing-utility`	**Personality testing utility**	~80% of organizations use; ~$2–3B/yr; widespread ≠ valid.
`concepts/barnum-effect`	**Barnum effect**	Vague, generic descriptions feel uniquely accurate; the mechanism that makes weak instruments feel authoritative.
`concepts/myers-briggs`	**Myers-Briggs**	4 dichotomies, 16 types; ~50% reclassify on retest within weeks (Grant); popular but not proven valid.

Big 5 / OCEAN

`concepts/big-5-development`	**Big 5 development**	Emerged bottom-up via lexical hypothesis; replicated across cultures and research teams.
`concepts/ocean-traits`	**OCEAN traits**	Openness, Conscientiousness, Extraversion, Agreeableness, Neuroticism — five continuous dimensions.
`concepts/ocean-job-performance`	**OCEAN job performance**	Reliable but small; Conscientiousness only across-the-board predictor; rest are contingent.
`concepts/personality-fit-job-satisfaction`	**Personality fit**	Person–job fit yields ~15% pay premium and higher satisfaction.
`concepts/narcissism`	**Narcissism**	Grandiose self-importance; emerges as leader but doesn't perform better; cultivated by individualistic cultures.

Culture

`concepts/personal-cultural-values-origins`	**Cultural values origins**	Values shaped by genetics, experience, geography, economics, disease, climate, religion, crop type.
`concepts/individualism-collectivism`	**Individualism-collectivism**	Hofstede dimension; the master cultural lens of the course.
`concepts/rice-vs-wheat-farming`	**Rice vs. wheat farming**	Talhelm 2014; within-China crop labor demands generate persistent collectivist/individualist patterns.
`concepts/culture-and-moral-dilemmas`	**Culture & moral dilemmas**	Universalism (individualist) vs. particularism (collectivist); Crunchers Inc. Beijing case.

Assigned readings

- `readings/gosling-snoop-ch2` — *Snoop* Ch. 2; identity claims / feeling regulators / behavioral residue let you read OCEAN from spaces.
- `readings/grant-goodbye-mbti` — Adam Grant; evidence-based MBTI takedown — fails test-retest reliability and predictive validity vs. Big 5.
- `readings/myers-interviewer-intuition` — *Intuition* Ch. 10; interview illusion — unstructured interviews are weak; GMA, work samples, job-knowledge tests beat the gut.

Reading-specific testable points

- **Thin-slice judgments** work for *expressive* traits (extraversion, warmth) but not long-term performance (Myers Ch. 10).
- **Schmidt & Hunter 85-year meta-analysis** — predictive-validity ranking: GMA + work samples + structured interviews + job-knowledge tests > unstructured interviews.
- **Crunchers Inc. Beijing case** — individual-recognition incentives backfire in collectivist contexts.
- **HEXACO model** — Grant alternative; six-factor (adds Honesty-Humility).
- **Gosling's *Snoop* method** — identity claims / feeling regulators / behavioral residue; bedrooms outperform offices.
- **Grant's MBTI verdict** — "as useful as a polygraph for measuring honesty."

High-yield MCQ traps

Pair	Distinguishing feature
MBTI vs. Big 5	MBTI = theory-driven, dichotomous, ~50% retest. Big 5 = empirical (lexical), continuous, predictive.
MBTI vs. Barnum effect	MBTI feels accurate *because* of Barnum — vague descriptors feel personal.
OCEAN-letter recognition	O = curiosity; C = self-discipline; E = sociability; A = warmth; N = emotional instability.
Conscientiousness vs. other OCEAN	Only C is consistent across-the-board predictor (~.20–.25). Distractor: "Extraversion is strongest."
Barnum vs. Narcissism vs. Fit	Barnum = vague feels personal. Narcissism = grandiose trait. Fit = trait-environment match → ~15% premium.

Pair	Distinguishing feature
Individualism-collectivism vs. Power distance	Different Hofstede dimensions: I/C = group orientation; PD = acceptance of hierarchy.
Individualism vs. "selfish"	Slides frame individualism as authenticity/initiative, NOT selfishness.
Rice-vs-wheat (Talhelm)	Within-China variation — same country, language. Trap: "Chinese vs. American" (confounds country with crop).

Likely exam patterns

- **OCEAN definition recall** — Conscientiousness vs. Agreeableness swap is frequent.
- **Cultural variation scenario** — almost always individualism-collectivism.
- **Talhelm rice-wheat finding** — identify crop labor demand mechanism, not climate or ethnicity.
- **MBTI vs. Big 5 comparison** — ~50% reclassification stat is the giveaway.
- **Conscientiousness as lone predictor** — distractor is Extraversion.

Module 5 — Motivation

M1 Final

What this module is fundamentally about

Why people work hard (or don't), and what managers can do about it. The spine is the **three-pillar model of motivating environments**:

1. **Clear paths from inputs to outputs** — *expectancy theory* (Vroom).
2. **Fair procedures and outcomes** — *equity theory* (Adams) + distributive vs. procedural justice.
3. **Meaningful work that affects others** — purpose, end-user impact (Pink).

Layered on top: the **money-happiness** story (positive but non-linear; we overestimate how much money will help), and the **intrinsic/extrinsic** story (contingent financial incentives can corrupt intrinsic motivation, especially on creative/conceptual tasks).

Visual — three pillars

1. Clear Paths
Expectancy theory (Vroom): effort → performance → reward → goal. ; one zero kills motivation.

2. Fair Procedures + Outcomes
Equity theory (Adams) + distributive vs. procedural justice.

3. Meaningful Work
Purpose, end-user impact (Pink); 10-min beneficiary meetings outperform manager pep talks.

Distributive justice
Was the *outcome* fair? (did I get the share I deserved?)

Procedural justice
Was the *process* fair? (transparent, voice, dignity, consistent)

Counterintuitive slide-flagged finding: Procedural justice is the strongest predictor of job performance — stronger than distributive. Managers over-focus on outcomes; the data say *how* you decide matters more than *what* you decide.

Headline empirical points

- Job satisfaction-performance correlation is **medium (~.30)** — not zero, not perfect.
- **Procedural justice** is the strongest predictor of job performance — *stronger* than distributive.
- **Flow** is more often experienced at work than during leisure (Csikszentmihalyi).
- **~90% of US workers** report being "very" or "somewhat" satisfied — debunks the "myth of the unhappy worker."

- **Glucksberg candle problem** — contingent rewards make people *slower* on the creative-insight version; on the easy version (tacks pre-removed), incentives speed people up.
- **Lepper-Greene-Nisbett preschoolers** — children given an *expected* "Good Player Award" later drew less in free play than those given an *unexpected* award or no award.
- **Babcock raise-negotiation gap** — small starting gaps compound over a career via percentage-based raises.
- **Amabile & Kramer diary research** — small daily progress on meaningful work is the **single strongest day-level driver** of inner work life.
- **Cornell pro-tobacco vs. anti-smoking copywriting** (Frank) — students demanded a **>80% pay premium** to take the pro-tobacco job.
- **Pink's Motivation 2.0 vs. 3.0** — carrots-and-sticks (2.0) work for algorithmic/routine; backfire on heuristic/creative; replace with autonomy/mastery/purpose (3.0).

Concepts

Job satisfaction

`concepts/job-satisfaction-factors`	**Job-satisfaction factors**	Predictors ranked by effect size; the work itself, supervision, growth beat pay.
`concepts/flow-state`	**Flow state**	Csikszentmihalyi's high-skill × high-challenge immersion; reported more often at work than leisure.
`concepts/job-satisfaction-performance`	**Job-satisfaction → performance**	Correlation ~.30 ("medium"); also predicts citizenship behaviors and lower turnover.

Motivating environments

`concepts/motivating-workplace-factors`	**Three-pillar spine**	Clear paths, fair procedures/outcomes, meaningful work.
`concepts/expectancy-theory`	**Expectancy theory**	Vroom; motivation = expectancy × instrumentality × valence; multiplicative.
`concepts/equity-theory`	**Equity theory**	Adams; employees evaluate rewards by **relative**, not absolute, comparison to a referent.
`concepts/distributive-vs-procedural-justice`	**Distributive vs. procedural**	Outcome vs. process fairness; **procedural is the strongest predictor** of performance.
`concepts/cultural-differences-fairness`	**Cultural fairness**	Three allocation principles (merit/equality/need); desire for fair process is universal.

Meaningful work & inner work life

`concepts/meaningful-work`	**Meaningful work**	Third pillar; brief end-user contact (10-min beneficiary meeting) outperforms pep talks.
`concepts/progress-principle`	**Progress principle**	Amabile & Kramer; small visible wins on meaningful work are the strongest day-level driver.

Money & motivation

`concepts/money-happiness-relationship`	**Money-happiness**	Positive but non-linear with diminishing returns; *valuing* money predicts less happiness.
`concepts/intrinsic-vs-extrinsic-motivation`	**Intrinsic vs. extrinsic**	Pink's autonomy/mastery/purpose; Sawyer Effect when contingent rewards corrupt play.
`concepts/financial-incentives-tradeoffs`	**Financial-incentive tradeoffs**	Six downsides; Glucksberg candle problem.
`concepts/non-financial-incentives`	**Non-financial incentives**	Pay above market, good benefits, unexpected rewards, status/recognition/thanks.

Assigned readings

- `readings/amabile-kramer-happier-work-harder` — NYT; diary studies show inner work life drives performance.
- `readings/feintzeig-weber-push-15` — WSJ; minimum-wage hikes cause wage compression — textbook equity-theory case.
- `readings/pink-drive-ch2` — Pink, *Drive* Ch. 2 & 2A; Motivation 2.0 vs. 3.0.
- `readings/korkki-talk-about-pay` — NYT; pay-conversation taboo + Babcock's negotiation-gap finding.
- `readings/frank-finding-job-you-love` — Frank; deliberate practice (Ericsson) + mission alignment.

Reading-specific testable points

- **Progress principle / inner work life** (Amabile & Kramer) — single strongest day-level driver of motivation.
- **Babcock raise-compounding math** (Korkki) — $1–2K starting gap → six-figure lifetime gap.
- **Pay-conversation taboo** — 60%+ of US workers say discussing pay is forbidden or strongly discouraged.
- **Minimum-wage wage compression** (Feintzeig & Weber) — veterans feel under-rewarded though no pay was cut.
- **Sawyer Effect** (Pink) — turning play into work via contingent rewards.
- **Glucksberg candle problem** (Pink) — incentives slow on insight, speed on no-insight; **contingent rewards narrow attention**.
- **Motivation 2.0 vs. 3.0** (Pink) — algorithmic vs. heuristic; Pink's "third drive" is intrinsic.
- **Deliberate practice** (Frank, citing Ericsson) — many thousands of hours; only sustainable on work you love.
- **Mission alignment / >80% Cornell premium** (Frank) — students demanded >80% extra pay to switch from anti-smoking to pro-tobacco.
- **Compensating differentials** (Frank) — better-conditions jobs tend to pay *less*.

High-yield MCQ traps

- **Expectancy vs. equity theory** — forward effort→reward chain (multiplicative) vs. sideways comparison.
- **Distributive vs. procedural justice** — what I get vs. how I got it. **Procedural is stronger predictor**.

- **Equity theory vs. distributive justice** — equity = the *mechanism* (input/output ratio); distributive justice = the *feeling*.
- **Intrinsic/extrinsic vs. financial-incentive tradeoffs** — taxonomy vs. when-and-why incentives backfire.
- **Expected/contingent vs. unexpected rewards** — only contingent corrupt intrinsic motivation.
- **Job satisfaction vs. motivating environment** — liking the job vs. driving effort.
- **Flow vs. job satisfaction** — moment-to-moment state vs. global evaluation.
- **Flow 2×2** — high skill × high challenge = flow; low+low = apathy; high skill + low challenge = boredom; low skill + high challenge = anxiety.
- **Money-happiness curve** — positive but non-linear; valuing money predicts less happiness.
- **Three allocation principles** — merit / equality / need.
- **Pink's Motivation 2.0 vs. 3.0** — algorithmic vs. heuristic.

Likely exam patterns

- **Scenario stems applying expectancy or equity** — multiplicative-vs-comparative cue is the discriminator.
- **"Which justice type predicts performance"** — answer is procedural (counterintuitive).
- **Creative-task incentive-backfire (Glucksberg)** — financial-incentive tradeoff.
- **Lepper-Greene intrinsic-corruption** — identify expected/contingent mechanism.
- **Allocation-principle scenario** — equity in collectivist context backfires.
- **Three-pillar diagnostic** — identify which pillar is broken.

Module 6 — Influence & Persuasion

M2 Final

What this module is fundamentally about

Persuasion runs through **two simultaneous channels**: the **central route** (System 2 — argument quality, durable attitude change) and the **peripheral route** (System 1 — cues like authority, liking, scarcity that shift attitudes faster but more fragilely). Cialdini's six principles are the canonical peripheral-route toolkit. The module then applies the framework to **minority-position influence** (Asch, push vs. pull) and to **special peripheral effects** from the Kidney Case (negative advertising, order/recency, individual identifiability, advocacy effect).

The ethical spine: peripheral cues are defensible when they amplify a true case System 2 would also accept — manipulative when they distract from a weak one.

Visual — Central vs. Peripheral routes

Central route (System 2)

- Argument quality matters
- Slow, effortful, conscious
- Two-sided framing helps
- Beware *argument dilution*
- Inoculation effects (don't disclose intent early)
- **Durable** attitude change

Peripheral route (System 1)

- Cues bypass argument quality
- Fast, automatic, often unconscious
- Cialdini's 6 principles
- Faster attitude shift
- **Fragile**; reverses when cue is removed
- They *co-occur*, not mutually exclusive

Cialdini's 6 principles — 2×3 grid

Authority

Defer to credible experts. Diploma display, real-estate-receptionist credential lift.

Reciprocity

Repay first givers. **DAV mailing 18% → 35%** with personalized address-label gift.

Liking

We say yes to people we like. **Tupperware** — purchase predicted by social bond with host.

Scarcity

Rare/exclusive feels valuable; rides loss aversion. Frame what will be lost.

Social proof

Peers' behavior as heuristic. Hotel-towel reuse; Columbia, SC neighbor-donor list.

Consistency

Honor your prior public stance. **Cioffi & Garner**: written commitment dropped no-shows ~18 pts.

Headline empirical points

- **74% Asch conformity** — proportion conforming to a unanimously wrong group on at least one trial.
- **DAV reciprocity 18% → 35%** — Disabled American Veterans direct-mail response rate jumped with a small personalized address-label gift.
- **Save the Children "Rokia" study** — donations to a named 7-year-old from Mali **more than doubled** vs. statistics about millions.
- **Missed-appointment 18% drop with active commitment** (Cioffi & Garner).
- **Tupperware** — purchase predicted by social bond with the host.
- **Diploma display / real-estate receptionist credentialing** — both classic *authority* studies.
- **Cialdini's six principles** — Liking / Reciprocity / Social proof / Consistency / Authority / Scarcity; **compound when stacked** (HBR 2001).
- **"The last shall be first"** — recency wins in serial-judgment competitions; primacy wins after delay.
- **Asch one-ally reduction** — adding a single dissenter drops conformity dramatically.

Concepts

Two-route model (master frame)

`concepts/central-vs-peripheral-route`	**Central vs. peripheral route**	Central (System 2, durable) vs. peripheral (System 1, fragile); they co-occur.
`concepts/central-route-strategies`	**Central-route strategies**	Stronger arguments + two-sided framing + beware argument dilution + inoculation.
`concepts/ethical-uses-peripheral-route`	**Ethical uses peripheral**	Defensible when amplifying a case System 2 would accept; "Would your audience be upset if they knew?"

Cialdini's six principles

`concepts/cialdini-authority`	**Authority**	Defer to credible experts; surface credentials via third party.
`concepts/cialdini-reciprocity`	**Reciprocity**	Repay first givers; DAV 18% → 35%; can backfire as "brown-nosing" in collectivist contexts.
`concepts/cialdini-commitment-consistency`	**Commitment & consistency**	Active + public + voluntary stickiest; coerced commitments backfire.
`concepts/cialdini-scarcity`	**Scarcity**	Rare/exclusive feels valuable; works via loss aversion; manufactured scarcity destroys trust.
`concepts/cialdini-liking`	**Liking**	Similarity, praise, rapport; build relationships before you need them (Tupperware).
`concepts/cialdini-social-proof`	**Social proof**	Peers' behavior; horizontal beats vertical; "use peer power, not positional power."

Minority-position influence & Kidney Case

`concepts/asch-conformity`	**Asch conformity**	74% conformed on at least one trial; reducers: one ally, written answers, smaller groups.
`concepts/minority-persuasion-push-pull`	**Push vs. pull**	When outnumbered use PULL; switch to PUSH only after achieving a majority.
`concepts/negative-advertising`	**Negative advertising**	"Risky, but effective"; makes audience more negative about the other side.
`concepts/order-effects`	**Order effects**	"The last shall be first" — recency wins live; primacy wins after delay.
`concepts/individual-identifiability`	**Individual identifiability**	"Rokia" donations more than doubled vs. statistics about millions.
`concepts/advocacy-effect`	**Advocacy effect**	Arguing for a position pulls the speaker's attitude toward it.

Assigned readings

- `readings/cialdini-harnessing-persuasion` — Cialdini (2001), HBR; six compounding peripheral-route principles; manipulation is self-defeating because it destroys trust.

Reading-specific testable points

- **The six principles compound when stacked** (Cialdini HBR 2001) — multiplicatively larger compliance.
- **Manipulation is self-defeating ethically AND strategically** — fabricated cues destroy trust.
- **The 4-phenomena framework** — Authority/Reciprocity/Liking (cues about source) + Scarcity/Social proof/Consistency (cues about situation).
- **Transparency as ethical test** — "Would your audience be upset if they knew?"
- **F. B. Evans (1963) similarity-buying study** — insurance prospects buy from agents who match them on age, religion, politics, smoking.
- **Cioffi & Garner (1996) active-commitment study** — written commitment far stickier than passive opt-in.
- **Columbia, SC neighbor-donor list** — donations rose with longer lists of neighbor donors (horizontal beats vertical).

High-yield MCQ traps

Pair	Distinguishing feature
Central vs. peripheral	Central = System 2, durable. Peripheral = System 1, fragile. They co-occur.
Scarcity vs. Social proof	Scarcity = "few can have it" (exclusivity/loss). Social proof = "many are choosing it" (consensus). **Opposite signals.**
Authority vs. Social proof	Authority = vertical (expert above). Social proof = horizontal (similar peers).
Liking vs. Social proof	Liking = one-to-one bond. Social proof = many-to-one peer behavior.

Pair	Distinguishing feature
Reciprocity vs. Consistency	Reciprocity binds you to repay another's gift. Consistency binds you to your own statement.
Consistency ladder	Active + public + voluntary > active + public > active > passive default. Coerced backfires.
Authority vs. Liking	Authority = competence (credentials). Liking = warmth (similarity, praise).
Asch vs. Milgram	Asch = conformity to peers (74% at least once). Milgram = compliance with authority (~2/3 to "XXX").
Push vs. pull	When outnumbered → PULL. Trap: "push harder when in the minority."
Argument dilution	Adding a weaker argument to a strong one makes the case **weaker**.
Primacy vs. recency	Recency wins in serial-judgment live; primacy wins after delay.
Negative ad vs. advocacy effect	Negative ad shifts audience against other side; advocacy effect shifts speaker toward own position.
Individual identifiability vs. statistical framing	One named "Rokia" beats aggregate. Donations more than doubled.

Likely exam patterns

- **Scenario stems → identify Cialdini principle.** Sister-confusion traps are the discriminators.
- **Central/peripheral System-1/System-2 swap** — distractor often claims peripheral is durable.
- **Ethical-test stems** — apply Cialdini's transparency test.
- **Compounding stem** — vignette stacks multiple principles; recognize they compound.
- **Order-effects scenario** — live vs. delayed.
- **Asch reducer recognition** — one ally, written, small group.

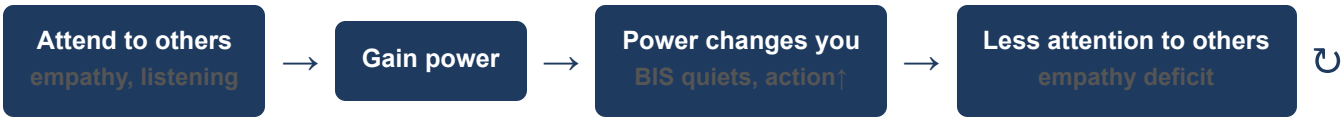
Module 7 — Power & Leadership

M2 Final

What this module is fundamentally about

Three questions structure the module: **who ends up as a leader, what happens to people when they become leaders, and why do leaders fail?** Leader emergence is mostly about perceived competence and commitment. Once power is acquired, the Behavioral Inhibition System quiets — leaders take more action, feel less pressure from others, and lose perspective-taking; Keltner and Obhi show this is partly neurological (impaired mirroring). The result is the **power paradox**: the very capacities that earned someone power get eroded by having it. A second strand is **power distance** as a Hofstede cultural dimension, with the KAL 801 / Korean Air case as the canonical illustration.

Visual — the power paradox cycle



Cockpit transcripts — KAL 801 / Avianca 052

KAL 801 (Guam, Aug 5, 1997) — high-PD Korean cockpit:

- First officer: "Don't you think it rains more in this area, here?"
- Engineer: "The weather radar has helped us a lot."
- Captain doesn't decode. **228 of 254 die.**
- Korean Air loss rate 1988–1998: **4.79 / million departures** — about **17× United's**. PD-crash correlation **r = .47**.

Avianca 052 (Long Island, Jan 1990) — Colombian crew; FO Klotz says "we're running out of fuel, sir" with mitigating "ah" instead of declaring "emergency." NY ATC dismisses it. Plane crashes from fuel exhaustion.
Korean Air reform: training to **reduce mitigated speech** + mandated **English in the cockpit** (a low-PD register). Today: 5-star Skytrax rating.

Headline empirical points

- **KAL 801 (Guam, 1997)** — 228 of 254 die; loss rate 17× United's; PD-crash correlation r = .47.
- **Avianca 052 (1990)** — Colombian crew uses mitigating "ah," not "emergency"; ATC dismisses; fuel-exhaustion crash.
- **Korean Air reform** — recognized PD as root cause; reduced mitigated speech + English in cockpit.
- **Keltner research** — powerful behave like people with mild TBI; produces empathy deficit via reduced mirroring.

- **Obhi TMS study** — high-power subjects' mirror-neuron pathways fire less; conscious effort to compensate doesn't restore.
- **Owen & Davidson hubris syndrome (2008/2009, *Brain*)** — proposed clinical disorder; **14 features**; sustained power + minimal constraint.
- **Galinsky's "E on the forehead" (2006)** — high-power participants **3× more likely** to draw the E self-readable (backwards to others).
- **Hofstede's six cultural dimensions** — pilot PDIs top: Brazil, S. Korea, Morocco, Mexico, Philippines; bottom: US, Ireland, S. Africa, Australia, NZ.

Concepts

Leader emergence

`concepts/leader-emergence-factors`	**Leader emergence factors**	Primary (competence, commitment) vs. additional (height, title, extraversion).
`concepts/leader-emergence-helpful`	**Leader emergence helpful?**	Moderate status differences help; large/unfair ones hurt.

What power does to people

`concepts/power-changes-behavior`	**Power changes behavior**	Three changes: action↑, perspective-taking↓, pressure of others↓; BIS down; Keltner/Obhi.
`concepts/power-paradox`	**Power paradox**	Circular self-defeating loop: gain power by attending to others, lose that capacity once you have it.
`concepts/hubris-syndrome`	**Hubris syndrome**	Owen & Davidson; acquired pathology of leaders in power for years; 14 features.

Power distance & cultural communication

`concepts/power-distance`	**Power distance**	Hofstede dimension; describes cultures, not individuals; KAL 801 example.
`concepts/cultural-power-leadership`	**Cultural power & leadership**	High vs. low PD at work; Korean Air's reforms.
`concepts/mitigated-speech`	**Mitigated speech**	Fischer & Orasanu's six levels of indirectness; cockpit deference under high PD.
`concepts/receiver-vs-transmitter-oriented`	**Receiver vs. transmitter-oriented**	High-PD/collectivist puts burden on listener; low-PD/individualist on speaker.

Assigned readings

- `readings/gladwell-outliers-ch7` — Outliers Ch. 7, "The Ethnic Theory of Plane Crashes" (KAL, Avianca, Hofstede).
- `readings/useem-power-causes-brain-damage` — Atlantic, July/Aug 2017 (Keltner, Obhi, hubris syndrome).

Reading-specific testable points

Gladwell — "The Ethnic Theory of Plane Crashes"

- Crashes typically involve **seven consecutive human errors** of teamwork and communication.
- **Hofstede's 1980 IBM-employee study** is the source; **Helmreich** built the pilot-PDI ranking.
- **Receiver-oriented vs. transmitter-oriented** — high-PD listener decodes; low-PD speaker is responsible.
- **Counter-example: Suren Ratwatte's Helsinki diversion** — Sri Lankan captain freely communicates with ATC.
- **Mr. Kim / kwacang dinner exchange** — Korean indirect-offer norm; **six levels of address**.

Useem — "Power Causes Brain Damage"

- **Keltner's brain-damage parallel** — powerful behave like mild TBI; Obhi's TMS gives the neural substrate.
- **Stanford prison-guard parallel** — sustained power + minimal constraint induces hubristic behavior.
- **John Stumpf** at Wells Fargo fake-account hearing — couldn't read the room.
- **Toe holders** — Louis Howe / FDR; Indra Nooyi's mother ("leave that damn crown in the garage"); Clementine Churchill ("you are not as kind as you used to be").
- **Average tenure ≈ 4 years** for US presidents — short tenure plus checks limit "sustained power + minimal constraint."
- **Rau et al., *J. Finance* 2017** — CEOs who lived through fatal natural disasters as children are *less* risk-seeking.

High-yield MCQ traps

- **Leader emergence vs. effectiveness** — **Emergent ≠ effective**. Talkativeness is a behavior of emergent leaders, not a primary driver.
- **Power paradox vs. power-changes-behavior vs. hubris syndrome** — paradox = circular loop; changes = three-item list; hubris = clinical disorder requiring sustained power.
- **Power distance describes CULTURES, not individuals** — slide-explicit.
- **High PD ≠ "bad"** — slide 13: respect for elders, role clarity, fewer conflicts, sense of belonging.
- **Mitigated speech vs. receiver/transmitter-oriented** — mitigated speech = transmitter behavior; receiver-orientation = cultural expectation.
- **Mitigated speech vs. Cialdini authority** — speaker softens up vs. listener over-defers up. Inverse directions.
- **Leader-emergence helpfulness** — yes, with caveats: moderate status differences help; large/unfair hurt.
- **Hubris syndrome vs. narcissism** — hubris is induced by sustained power; narcissism is a stable trait.

Likely exam patterns

- **KAL 801 / Avianca scenario stems** — mitigated speech in high-PD cockpit; receiver-oriented communication.

- **Keltner-mechanism scenarios** — recently promoted manager shows reduced perspective-taking; identify the trio + BIS suppression.
- **PD cultural-comparison stems** — match workplace artifact to high or low PD.
- **"Is it helpful that a leader emerges?"** — yes, with caveats.
- **Hubris-syndrome diagnostic** — sustained power + minimal constraint + cluster of behaviors.
- **Toe-holder / antidote stem** — social prevention of hubris drift.

Module 8 — Social Identity & Diversity

M2 Final

What this module is fundamentally about

Two questions:

1. **Why do *employees* care about diversity?** Because they want to be **authentic but not conspicuous** at work.
2. **Why do *organizations* care?** Four reasons: (i) keeping employees happy and productive, (ii) **discrimination and fairness** (Thomas & Ely paradigm 1 — legal/moral), (iii) **access and legitimacy** (paradigm 2 — strategic/market), (iv) **better ideas / innovation** from heterogeneous perspectives.

The Five Tricks card-game exercise grounds the **culture-shock** mechanism and the **J-curve** expectation: diversifying produces short-term conflict, then long-term innovation gains.

Visual — Thomas & Ely two paradigms

Dimension	Paradigm 1: Discrimination & Fairness	Paradigm 2: Access & Legitimacy
Justification	Moral / legal — avoid harm, treat fairly	Strategic / market — diversity as a business asset
Policy implication	Anti-bias hiring practices, blind auditions, disparate-impact compliance	Hire diversity to reach diverse markets / signal credibility
Slide example	Symphony blind auditions raised female hires ~25%	J.C. Penney store-workforce diversity → store earnings
Risk	Treats diversity as cost-of-compliance only	Pigeonholing if no promotion path

Stereotype threat (internal)
Target's own performance drops under identity salience. Steele/Aronson GRE study; replicated with women on math, white men on jump shots.

Stereotype tax (external)
Career cost imposed by *evaluators'* System 1. Bertrand & Mullainathan 5,000 résumés; AirBnB first-name acceptance gap.

Headline empirical points

- **Blind symphony auditions** — screen between candidate and judges raised female hires by **~25%**.
- **AirBnB first-name acceptance gap** — ~6,400 booking requests; minority-coded names accepted at lower rates.
- **Bertrand & Mullainathan résumé study** — **5,000 résumés**; African-American-sounding names received fewer callbacks.

- **Steele/Aronson stereotype-threat study** — African-American students performed worse when first asked to "tell us what it's like to be African-American on this campus."
- **J.C. Penney** — diverse workforces in minority-community stores produced higher customer satisfaction and earnings.
- **Project Aristotle** — Google's two-year team-effectiveness study found psychological safety as the strongest predictor.
- **Workplace incivility prevalence — ~3/4 of employees** report workplace incivility in the last year; ~50% of women report sexual harassment over a career.
- **Facebook 44% / 25%** — Asian Americans = 44% of staff but 25% of leadership at Facebook (Chen WSJ).

Concepts

Social identity & employee experience

`concepts/social-identity-definition`	**Social identity**	How you define who you are; "being ___ is a big part of who I am."
`concepts/why-employees-care-diversity`	**Why employees care**	Authentic but not conspicuous: "I can be myself" + "people see me as a whole person."
`concepts/workplace-stigmatization`	**Workplace stigmatization**	Devaluing of identity; ~3/4 of employees report incivility in the last year.
`concepts/stereotype-threat`	**Stereotype threat**	Awareness of a stereotype hurts performance under identity salience.

Why orgs care — Thomas & Ely paradigms

`concepts/discrimination-and-fairness`	**Paradigm 1: D&F**	Moral/legal case; discrimination need not be intentional (disparate impact).
`concepts/stereotype-tax`	**Stereotype tax**	Career cost imposed by evaluators' System 1; external mirror of stereotype threat.
`concepts/access-and-legitimacy`	**Paradigm 2: A&L**	Diversity as business asset; J.C. Penney; caveat: pigeonholing.

Diversifying organizations

`concepts/culture-shock`	**Culture shock**	Disorientation from unrecognized small rule differences (Five Tricks); reduced by partner + prior shock.
`concepts/diversifying-expectations`	**Diversifying expectations**	J-curve: short-term conflict + dissatisfaction, long-term better ideas.
`concepts/diversity-innovation-relationship`	**Diversity → innovation**	Heterogeneous teams take longer but expand the hypothesis space; murder-mystery exercise.

Assigned readings

- `readings/chen-asian-american-visibility` — Te-Ping Chen, *WSJ* (Apr 2021): the model-minority myth; Facebook 44% / 25%.
- `readings/invisibilia-new-norm` — *Invisibilia* (NPR, Jun 2016): McDonald's-Russia smile export; Grandey's emotional labor / dissonance.

Reading-specific testable points

Chen — Asian-American Professionals Push for Visibility

- **Model-minority myth** = perception Asian Americans are uniformly prosperous; excludes them from DEI plans.
- **Post-Atlanta-spa shootings shift** — Asian-American professionals stopped the "blend in" pattern.
- **"Worker bees" stereotype** (Henry Fong, LinkedIn VP Legal): "good workers, but not assertive enough to be leaders."
- **1,000 Asian-American business leaders** (Steve Chen, Eric Yuan) — $10M pledge and full-page WSJ ad.
- **Kaycee Lai's bubble tea** — hid bubble tea at work to avoid being marked as Asian.
- **Eric Toda** — gets assumed to be "the IT guy" or DoorDash; everyday-incivility.

Invisibilia — The New Norm

- **McDonald's-Russia smile export (1990, Pushkin Square)** — installing the "American smile" in a culture where smiling at strangers signals dishonesty.
- **Igor Korganov line** — Russians "were not allowed to be happy in the process."
- **Alicia Grandey (Penn State)** — coined **emotional labor**; sustained **emotional dissonance** drives burnout.
- **Surface acting vs. deep acting** — surface produces dissonance/burnout; deep is harder but less harmful.
- **"Service with a smile" power asymmetry** — once installed, customers behave however they want.

High-yield MCQ traps

- **Discrimination & fairness vs. access & legitimacy** — THE Thomas-and-Ely pair. Paradigm 1 = right; paradigm 2 = profitable. Same fact pattern can match either depending on the stated motive.
- **Stereotype threat vs. tax** — threat = target's own performance drops (internal); tax = career cost imposed by others (external).
- **Stereotype threat vs. workplace stigmatization** — stigmatization = interpersonal devaluing; threat = internal hit even with no overt mistreatment.
- **Intentional vs. disparate-impact discrimination** — discrimination need not be intentional. Hiring via referrals reproduces demographics → disparate impact even with no intent.
- **J-curve as predicted, not pathological** — short-term conflict is the explicit slide forecast.
- **Authentic but not conspicuous (employee reason)** — distractor: "to comply with anti-discrimination law" (that's the org's reason).
- **Diversity → innovation vs. A&L** — better-ideas = internal problem-solving; A&L = external market access.

- **Social identity vs. demographic diversity** — demographics = observable; social identity = subjective importance.
- **Model-minority myth** — keeps Asian Americans *out of* DEI plans.
- **Emotional labor vs. emotional dissonance** — labor = the demand; dissonance = gap between internal state and required display. Dissonance drives burnout.

Likely exam patterns

- **Thomas & Ely paradigm-recognition stems** — cue is motive language. "Avoid harm" / "fair" = paradigm 1; "reach diverse markets" = paradigm 2.
- **Threat-vs-tax scenario** — pick based on who is acting.
- **Disparate-impact recognition** — facially neutral practice that operates to exclude.
- **J-curve / "diversifying expectations"** — predicted, not pathological.
- **Asian-American visibility / model-minority stems** — Chen-style scenario.
- **Emotional labor / smile-export stems** — emotional dissonance as burnout mechanism.

Module 9 — Negotiation

M2 Final

What this module is fundamentally about

Negotiation is **deciding on the terms of an exchange**. The module's master comparison is **distributive vs. integrative bargaining**: fixed-pie / win-lose vs. expand-the-pie / win-win. Most other concepts (BATNA, reservation price, positions vs. interests, tactics) hang off this dichotomy.

Two recurring traps: (1) defaulting to distributive when integrative would create more value; (2) letting fairness perceptions override BATNA — rejecting deals above your alternative because they "feel unfair," or accepting deals below it because the concession sequence felt like winning (Malhotra).

Visual — Distributive vs. Integrative

Dimension	Distributive	Integrative
Pie metaphor	Fixed pie / zero-sum	Expand the pie / mutual gain
# of issues	One	Multiple
Info posture	Guarded	Open about goals
Time horizon	One-shot	Long-term relationship
Anchor tactics	Make first offer · reveal deadline · hide info · strategic anger	—
Integrative tactics	—	Soft on people / hard on problem · perspective-taking · objective criteria · package multiple options

BATNA — Best Alternative To a Negotiated Agreement. The real *outside option* you'd pursue if this deal fails. Slide rule: always accept above BATNA. Use expected value when uncertain (Shapiro: 0.7×$10M + 0.3×$3M − $0.5M = **$7.4M**).

Reservation price — Quantification of BATNA into a single in-deal walk-away *number*. Overlap of two reservation prices = the **ZOPA**. Texoil reps: $500K cap vs. owner's $553K floor → **no ZOPA** until integrative moves shifted owner to $467K.

Headline empirical points

- **Texoil exercise** — Texoil rep cap **$500K** vs. station owner floor **$553K** → no ZOPA on price alone. Integrative moves (post-trip job offer, fuel trade, line of credit, health care, ads on sailboat) shifted reservation to **$467K**.
- **Shapiro (Mode A failure)** — offered **$8.5M**; rejected because it felt unfair vs. $10M anchor. Litigation BATNA EV = **$7.4M**. Should have accepted.

- **Olivia (Mode B failure)** — car listed $34K, reservation $31K. Salesperson concedes $34K → $33K → $32,250 → $32,000. Olivia accepts at **$32K — $1K above her own reservation**.
- **Australia → Japan sugar exports** — Japanese expected to renegotiate as conditions changed; Australian side treated contract as fixed.
- **Orange / cake-and-juice** — fight over an orange (positions). Compromise = cut in half. Integrative: ask *why* — one wants juice, one wants the peel → each gets **100%**.
- **Paper Clip exercise** — trade up via a chain of trades; people rarely value things to the exact same degree.

Concepts

`concepts/negotiation-definition`	**Negotiation definition**	Deciding on the terms of an exchange; price, dividing a resource, or conflict resolution.
`concepts/distributive-vs-integrative-bargaining`	**Distributive vs. integrative**	Master comparison. Fixed pie / one issue / guarded / one-shot vs. expand pie / multiple issues / open / long-term.
`concepts/batna`	**BATNA**	Best Alternative To a Negotiated Agreement; outside option; always accept above BATNA.
`concepts/reservation-price`	**Reservation price**	Quantification of BATNA into in-deal walk-away number; overlap = ZOPA.
`concepts/negotiation-preparation`	**Negotiation preparation**	Three questions: what do I want, what do they want, what's the larger situation?
`concepts/negotiation-success-strategies`	**Success strategies**	Distributive: first offer, deadline, hide info, anger. Integrative: soft on people, perspective, criteria, package.
`concepts/compromise-in-integrative-negotiation`	**Compromise vs. integration**	Slide-stated: "integration is not just compromising." Meeting in middle on one issue can leave both worse off.
`concepts/positions-vs-interests`	**Positions vs. interests**	Fisher & Ury; positions = stated offers, interests = underlying needs.
`concepts/cultural-differences-negotiation`	**Cultural variation**	Goal: contract vs. relationship; communication: direct vs. indirect; integrative travels better globally.

Assigned readings

- `readings/korkki-talk-about-pay` — Babcock; % raises mean an under-negotiated starting salary compounds; ask 10% above; integrative workarounds.
- `readings/malhotra-accept-or-reject` — discipline of comparing offers to BATNA; Mode A (Shapiro) and Mode B (Olivia) symmetric failures.

Reading-specific testable points

Korkki — Talk About Pay Today, or Suffer Tomorrow

- **Babcock (Carnegie Mellon)** — raises and retirement contributions are typically percentage-based; under-negotiated starting salary compounds for years.
- **Salary intelligence** — Glassdoor, Salary.com, PayScale.

- **Babcock's "ask 10% above"** — anchors above target without seeming unreasonable.
- **Don't bluff your walk-away** — your reservation price has to be real.
- **Defer salary discussion early; ask for a few days** (Safani).
- **Integrative workarounds when base is capped** (Rueff): bonus, signing bonus, equity, vacation, parking, relocation, hours, title.
- **Gendered backlash** — prescription is preparation/information, not aggression.

Malhotra — Accept or Reject?

- **Decision rule** — accept iff offer beats your reservation value. One comparison, no fairness side-quests.
- **Mode A (reject what you should accept)** — fairness perceptions override BATNA. Shapiro: $10M anchor sank a deal at $8.5M when EV BATNA was $7.4M.
- **Mode B (accept what you should reject)** — concession choreography feels like winning. Olivia: $34K → $33K → $32,250 → $32K accepted, $1K above $31K reservation.
- **Symmetric failure** — both modes violate the same rule. Discipline: destination, not the path.
- **Expected-value math** for uncertain BATNAs — write the number down before entering the room.
- **Application breadth** — job offers, litigation, M&A, vendor procurement.

High-yield MCQ traps

- **Distributive vs. integrative (with matched tactics)** — anchoring/deadlines/info-hiding/strategic anger = distributive; soft-people/objective-criteria/packaging = integrative.
- **BATNA vs. reservation price** — BATNA = the alternative; reservation = the number it produces.
- **BATNA vs. target point** — target = highest aspiration; BATNA = walk-away.
- **BATNA vs. fairness anchor** — a "fair" number is NOT a BATNA. Shapiro should have accepted $8.5M.
- **Positions vs. interests** — position = what; interest = why.
- **Compromise is NOT integration** — slide-explicit. "Meet in the middle" is distributive default.
- **Fairness overriding BATNA (Malhotra)** — both Mode A and Mode B violate the same rule.
- **Integrative requires multiple issues** — but you can almost always find more issues to add.
- **Cultural mismatch on what the deal *is*** — contract-oriented vs. relationship-oriented.

Likely exam patterns

- **Mode-recognition stems** — number of issues + length of relationship are cues.
- **BATNA-vs-reservation-price scenarios** — outside option vs. in-deal number.
- **Positions-vs-interests recognition (orange example)** — ask why.
- **Cross-cultural negotiation style stems** — contract-vs-relationship and direct-vs-indirect.
- **Tactic-to-mode matching** — anchoring / deadline / strategic anger = distributive.
- **Salary-negotiation stems (Korkki)** — integrative packaging + slide-19 prep + real reservation.

Module 10 — Groups & Teams NEW on Final

Final-only

What this module is fundamentally about

How collections of interdependent individuals turn into functioning (or dysfunctional) groups, and how the structure managers impose around them shapes performance. The unit defines what a group is, traces how groups develop (punctuated equilibrium), enumerates the six properties (roles, norms, status, size, cohesiveness, diversity), and drills into group decision making — its strengths, failure modes (groupthink, groupshift, social loafing, common-knowledge effect), and techniques (interacting / brainstorming / nominal group). The second class extends to organizational structure: span of control, mechanistic vs. organic, and the tradeoffs hierarchy creates between efficiency, creativity, and satisfaction.

Visual — cohesion × norms 2×2

High cohesion + High norms

HIGHEST productivity — both forces aligned with performance.

Low cohesion + High norms

Moderate-to-high — norms drive output without strong bond.

High cohesion + Low norms

LOWEST productivity — Hawthorne bank-wiring; informal norms cap output.

Low cohesion + Low norms

Moderate-to-low — neither bond nor norms drive performance.

Productivity = cohesion × performance norms (NOT cohesion alone).

Punctuated equilibrium timeline

First-meeting direction → Phase 1 inertia → Midpoint trigger → Phase 2 inertia → Final burst

Midpoint is **time-based, not progress-based** — 1-hour or 6-month projects both flip at the halfway mark.

Headline empirical points

- **Asch conformity — 75% conformed at least once** across line-judgment trials.
- **Hawthorne bank-wiring room** — informal worker norms capped output ("rate-busters" and "chiselers" sanctioned).
- **Project Aristotle — 180+ Google teams**; *who* mattered far less than the team's *norms*; **psychological safety** dominant. Two empirical signatures: equal turn-taking + high social sensitivity.
- **Edmondson's psychological-safety construct** — shared belief team is safe for interpersonal risk-taking.

- **Grogan Air / hidden-profile task** — ~75% of groups pick the *wrong* VP candidate when info is divided.
- **Punctuated equilibrium — midpoint trigger** — temporary deadline-driven groups hit transition at midpoint of allotted time, regardless of duration.
- **Exhibit 9-4 cohesion × norms 2×2** — high cohesion + low norms → lowest productivity.
- **Brainstorming production blocking** — individuals working alone generate more and better ideas than equivalent face-to-face groups.
- **NGT > brainstorming** — Nominal Group Technique outperforms open brainstorming on idea count and quality.

Concepts

What is a group

`concepts/group-definition`	**Group definition**	Two or more individuals, interacting and interdependent, who have come together to achieve objectives.
`concepts/social-identity-in-groups`	**Social identity in groups**	Self-esteem tied to group fate; ingroup favoritism (not outgroup hostility) drives most discrimination.
`concepts/punctuated-equilibrium-model`	**Punctuated equilibrium**	Temporary deadline-driven groups: first-meeting → Phase 1 inertia → midpoint → Phase 2 → final burst.

Group properties

`concepts/roles-and-norms`	**Roles & norms**	Roles tell members *what*; norms tell them *how*; Asch (75%) and Hawthorne canonical demos.
`concepts/social-loafing`	**Social loafing**	Less effort collectively than alone; high in Western/individualist; five prevention levers.
`concepts/group-cohesion`	**Group cohesion**	Productivity = cohesion × performance norms (Exhibit 9-4 2×2).
`concepts/psychological-safety`	**Psychological safety**	Edmondson; shared belief team is safe for interpersonal risk-taking; Project Aristotle headline.

Group decision-making

`concepts/group-vs-individual-decisions`	**Group vs. individual**	Groups more accurate than average individual but less than best; groups beat on creativity and acceptance.
`concepts/groupthink-and-groupshift`	**Groupthink & groupshift**	Groupthink = consensus pressure suppresses dissent (Samsung Note 7); groupshift = polarization toward extreme.
`concepts/group-brainstorming`	**Group brainstorming**	Individuals alone outperform face-to-face groups; production blocking primary mechanism.
`concepts/common-knowledge-effect`	**Common-knowledge effect**	Groups over-discuss shared info, under-discuss private info (Grogan Air ~75% wrong VP).

Organizational structure

`concepts/group-structure-outcomes`	**Structure outcomes**	Hierarchy increases efficiency at the cost of creativity/satisfaction.
`concepts/span-of-control`	**Span of control**	Direct reports per manager; wider = flat, narrower = tall.
`concepts/mechanistic-vs-organic`	**Mechanistic vs. organic**	Mechanistic = bureaucratic, top-down (Wal-Mart, railroads); organic = fluid, distributed (Apple, startups).

Assigned readings

- `readings/robbins-judge-foundations-group-behavior` — definition, six properties, punctuated equilibrium, decision-making, groupthink/groupshift, NGT vs. brainstorming.
- `readings/duhigg-google-perfect-team` — Project Aristotle: norms beat composition; psychological safety dominant.

Reading-specific testable points

- **Robbins & Judge — six group properties**: roles, norms, status, size, cohesiveness, diversity.
- **R&J — five social-loafing prevention levers**: group goals / inter-group competition / peer evaluations / select motivated members / reward identifiable individual contributions.
- **R&J — seven cohesion levers**: smaller / agreement on goals / time together / status of joining / external competition / group rewards / physical isolation.
- **R&J — punctuated equilibrium phases**: first-meeting → Phase 1 → midpoint (time-based) → Phase 2 → final burst.
- **R&J — groupthink antecedents**: high cohesion, insulation, directive leadership, lack of methodical procedures, homogeneity, time pressure.
- **Duhigg / Project Aristotle — headline**: norms beat composition. Two strongest predictors of effective norms: equal turn-taking + high social sensitivity.
- **Duhigg — psychological safety as dominant productive norm**.
- **Duhigg — disconfirming intuition** — "hire stars" instinct didn't predict performance; norms swamped composition.

High-yield MCQ traps

- **Groupthink vs. groupshift** — groupthink = suppressed dissent → artificial consensus; groupshift = amplified leaning → polarization.
- **Mechanistic vs. organic** — mechanistic ≠ bad. Both rational responses to environment; mechanistic dominates in stable contexts.
- **Brainstorming vs. NGT** — NGT outperforms brainstorming. Brainstorming suffers production blocking, evaluation apprehension, free-riding.
- **Cohesion vs. psychological safety** — cohesion = bond; psychological safety = willingness to dissent. High cohesion *without* psych safety → groupthink.
- **Common-knowledge vs. groupthink** — common-knowledge = info-sampling failure (over-discuss shared); groupthink = dissent-suppression.
- **Social-loafing prevention levers** — five canonical. Distractor: "increase group size" (worsens loafing).
- **Punctuated equilibrium midpoint** — time-based, not progress-based.

Likely exam patterns

- **Identify groupthink vs. groupshift** — "everyone agreed despite concerns" vs. "ended more extreme."
- **Mechanistic-vs-organic** — Wal-Mart/railroad → mechanistic; Apple/startup → organic.
- **Cohesion-norms 2×2** — high cohesion + low norms = worst case.
- **Psychological-safety scenario** — admits mistakes, asks dumb questions → Project Aristotle.
- **Common-knowledge / hidden-profile** — group with divided info picks wrong; fix is collect judgments before discussion (NGT-style).
- **Punctuated equilibrium midpoint** — three weeks of nothing then sudden shift at week 3 of 6 → midpoint transition.

Module 11 — Ethics NEW on Final

Final-only

What this module is fundamentally about

The gap between how ethical we *think* we are and how we actually behave — and how organizations widen that gap. Lecture 26 zooms in on the *individual* arc: we predict we'll act on our principles ("should self"), but at decision time the "want self" wins via ethical fading and visceral responses, and afterward memory revisionism preserves our self-image. Lecture 27 zooms out to the *organization*: misconduct is enabled by four mechanisms — moral justification, social norms (often misperceived), outcome-focused culture, and moral inaction. The antidote is a culture of ethics built on transparency, checks and balances, process focus, and dissent.

Visual — Individual arc (3-stage flowchart)

FORECASTING
over-predict ethical action
(62% predict / 0% refuse)

→

DECISION
ethical fading + visceral
(Pinto cost-benefit)

→

RECOLLECTION
memory revisionism
(re-encode as ethical)

Organizational enabling mechanisms (4-cell)

1. Moral justification

Internal rationalization in one employee's head. Anonymity (Enron CA traders), inequity (TSA officer Pythias Brown).

2. Social norms (unethical)

External "everyone does it" cue. Pluralistic ignorance, Milgram (~2/3 obeyed to "XXX").

3. Outcome-focused culture

Leadership-built; ends justify means. Wells Fargo "Eight is great" (Stumpf), Ford Pinto $11/car fix dropped → 27 deaths.

4. Moral inaction

Passive failure to confront others' acts. ~2/3 of witnesses don't report; powerlessness, learned helplessness.

Five Moral Foundations (Haidt)

Foundation	One-line
Care / Harm	Protect others from suffering
Fairness / Reciprocity	Rules should be fair for everyone
Ingroup / Loyalty	Stand with your group
Authority / Respect	Honor legitimate hierarchies and traditions
Purity / Sanctity	Avoid degrading or contaminating acts

Trap: people *disagree on weightings*, not categories. Distractors add a sixth ("Liberty") or drop one.

Headline empirical points

- **$50B/yr employee misconduct cost** — slide-explicit headline.
- **Seven misconduct categories (deck 27, slide 7)** — embezzlement / supply theft / time theft / harassment / safety corner-cutting / conflicts of interest / information leaks.
- **Sexual-harassment forecasting study — 62% predict / 0% refuse** — sharpest demonstration of want-self vs. should-self gap.
- **Wells Fargo "Eight is great" / John Stumpf** — outcome-focused sales-quota culture drove 1.5M+ fake accounts.
- **Pythias Brown — TSA officer, $800K stolen** — long-running luggage theft justified by sense of inequity.
- **Ford Pinto — $11/car fix dropped → 27 deaths** — cost-benefit framing made ethical content fade.
- **Enron California traders / "synergistic corruption"** — anonymity + market manipulation; "Grandma Millie" tapes.
- **Milgram — ~2/3 obeyed to "XXX"** — slide 15 treats Milgram as canonical social-norms / obedience exemplar.
- **~2/3 of witnesses don't report misconduct** — pivotal anchor for moral inaction.
- **Johnson & Johnson 1982 Tylenol crisis** — "First, how do we protect the people?" canonical process-focus example.

Concepts

What ethics is

`concepts/ethics-definition`	**Ethics definition**	Guidelines and principles for evaluating right vs. wrong; broader than laws.
`concepts/ethical-frameworks-sources`	**Frameworks sources**	Three slide-named: faith traditions, Moral Foundations, professional guidelines.
`concepts/moral-foundations-five`	**Five Moral Foundations**	Care/Harm, Fairness/Reciprocity, Ingroup/Loyalty, Authority/Respect, Purity/Sanctity.

The individual gap

`concepts/bounded-ethicality`	**Bounded ethicality**	Bazerman & Tenbrunsel; systematic, mostly-unconscious limits on ethical self-perception.
`concepts/want-self-vs-should-self`	**Want vs. should self**	Should self dominates predictions; want self dominates moment of action.
`concepts/ethical-forecasting-errors`	**Forecasting errors**	Over-predict ethical action; 62% predict confronting harasser, 0% actually refuse.
`concepts/ethical-fading-visceral`	**Fading + visceral**	Fading (cognitive — Pinto) + visceral (bodily — hunger, fear, time pressure).

`concepts/ethical-memory-revisionism`	**Memory revisionism**	Distort the past so we still see ourselves as ethical; cycle repeats.
`concepts/behavior-principles-alignment`	**Two-step fix**	Voice want-self when anticipating; voice should-self when deciding (mom test, abstract framing).

Organizational mechanisms

`concepts/employee-misconduct-types`	**Misconduct types**	$50B/yr; seven categories; mostly mundane, ordinary employees.
`concepts/moral-justification`	**1. Moral justification**	Cognitive rationalizations; facilitators: anonymity (Enron), inequity (TSA Pythias Brown).
`concepts/social-norms-unethical-behavior`	**2. Social norms**	People cheat more when they think others do; pluralistic ignorance.
`concepts/outcome-focused-culture`	**3. Outcome focus**	Ends justify means (Wells Fargo, Pinto); goals + incentives are levers.
`concepts/moral-inaction`	**4. Moral inaction**	~2/3 of witnesses don't report; powerlessness, learned helplessness.
`concepts/ethics-antidote`	**Antidote (4 pillars)**	Transparency, checks and balances, process focus, dissent (J&J 1982 Tylenol).

Assigned readings

- `readings/bazerman-tenbrunsel-blind-spots` — Ch. 4 + Ch. 8: prediction → decision → recollection arc; want/should selves; ethical fading; precommitment, mom test, abstract framing.

Reading-specific testable points

- **Bounded ethicality** — bounded rationality applied to moral choices.
- **Want-self vs. should-self** — should = abstract / System 2 / dominates predictions; want = concrete / System 1 / dominates live decisions.
- **Forecasting → decision → recollection arc**:
  - **Forecasting (before)** — over-predict (62% predict confronting).
  - **Decision (live)** — ethical fading + visceral (Pinto, hunger/fear).
  - **Recollection (after)** — memory revisionism distorts.
- **Four categorized interventions**:
  - **Precommitment** — Ulysses contracts.
  - **Mom test** — "Would I do this if my mother were watching?"
  - **Abstract framing** — frame categorically/morally.
  - **Structural separation** — auditors from auditees.
- **Ethical fading via cost-benefit framing** — Pinto $11/car, "shrinkage" instead of "theft"; ethical content drops out of awareness, not rationalized away.

High-yield MCQ traps

- **Ethical fading vs. visceral responses** — both decision-time. Fading = cognitive (Pinto). Visceral = bodily (hunger, fear, anger). Keep separate.
- **Ethical fading vs. moral justification** — fading: ethics never enters awareness. Justification: ethics acknowledged but explained away (post-hoc).
- **Forecasting errors vs. memory revisionism** — before vs. after the action.
- **Four enabling mechanisms recognition**:
  - Moral justification — internal rationalization (Pythias Brown, Enron).
  - Social norms — external "everyone does it" (Milgram).
  - Outcome-focused culture — leadership-built (Wells Fargo, Pinto).
  - Moral inaction — passive non-confrontation (~2/3 non-reporting).
- **Five Moral Foundations recognition** — distractor adds "Liberty" or drops one.
- **Antidote four pillars** — transparency / checks / process / dissent. Direct mirrors of the four mechanisms.
- **Bounded ethicality vs. hypocrisy** — hypocrisy = awareness; bounded ethicality = absence of awareness.
- **Obedience vs. moral inaction** — obedience = active compliance with directive; inaction = passive failure to intervene.

Likely exam patterns

- **Scenario stem matching to one of four enabling mechanisms (highest-frequency).** Expect 2–3 on the Final.
- **Moral-foundations recognition** — secret hire-only-our-race violates Fairness, not Care.
- **Want/should-self scenario** — "swore they'd report" but didn't → want overriding should, not hypocrisy.
- **Antidote pillars recognition** — J&J 1982 = process focus; SOX-style separation = checks and balances.
- **Forecasting vs. fading vs. recollection placement** — "I'm sure I'd never" / "didn't see it as ethical" / "had no real choice."

Module 12 — Happiness & Wrap-up NEW on Final

Final-only

What this module is fundamentally about

Why pursue happiness, why is it stable despite massive gains in objective quality of life, and what (if anything) can actually move it. The slides build a set-point model anchored by genetics, hedonic adaptation, and social comparison, then identify two intentional levers — social connections (strong and weak) and how money is spent (experiences over things; others over self). The module closes the course with three mega-takeaways.

Visual — 50/40/10 happiness variance split

~50% genetics (Minnesota Twin Studies, 3,200 twins) · ~40% intentional activity · ~10% circumstances. Most testable numeric on this module.

> **Williams's three mega-takeaways (verbatim):**
>
> 1. **Human behavior is predictable** — "humans aren't irrational, just insufficiently modeled."
> 2. **What we think is not always reality** — "common sense is necessary, but not sufficient — ground your decisions in solid evidence."
> 3. **Other people matter** — social context, relationships, and influence shape outcomes.

Headline empirical points

- **Variance breakdown — 50% / 40% / 10%** (Lyubomirsky-derived, slide-explicit).
- **Minnesota Twin Studies — 3,200 twins** raised apart; identical similar happiness, fraternal little.
- **Illinois lottery study — $50K to $1M winners** showed minimal happiness change after ~1 year.
- **Marriage adaptation — ~2 years to baseline** (German panel data, n=1,761).
- **Olympics silver-vs-bronze** — silver less happy than bronze; canonical social-comparison demo.
- **Dunn $20 prosocial-spending experiment** — prosocial > self-spending for happiness.
- **Brooks family typology — 59% / 22% / 19%** — cohesive / enmeshed / disengaged.
- **Williams's three mega-takeaways** (verbatim above).
- **Kahneman-Deaton — money/happiness decoupling at the top** — "wealth is like health — its utter absence breeds misery, yet having it is no guarantee of happiness." Note: slides do NOT name $75K — answer with "diminishing returns / decoupling above basic needs."

Concepts

Why pursue happiness

`concepts/happiness-consequences`	**Happiness consequences**	Happy people have more friends, higher productivity, better health; longevity gain exceeds gain from not smoking.
`concepts/happiness-vs-objective-quality`	**Happiness vs. objective quality**	Objective conditions soared; subjective happiness flat. Kahneman-Deaton "wealth is like health…"
`concepts/easterlin-paradox`	**Easterlin paradox**	Macro version: GDP up, average happiness flat once basic needs met.

What stabilizes vs. moves happiness

`concepts/happiness-stability`	**Happiness stability**	Set-point model: genetics (~50%), hedonic adaptation, social comparison.
`concepts/happiness-improvement`	**Happiness improvement**	~40% intentional: strong & weak ties, experiences over things, spending on others.
`concepts/mega-takeaways`	**Mega-takeaways**	Three closing-slide synthesis points (verbatim above).

Assigned readings

- `readings/brooks-path-to-happiness` — Tolstoy/Oblonsky hypothesis; cohesive (59%) / enmeshed (22%) / disengaged (19%) families.
- `readings/frank-finding-job-you-love` — Easterlin + mission alignment + compensating differentials + deliberate practice (Ericsson) + flow.

Reading-specific testable points

Brooks — Path to Happiness

- **Tolstoy / Oblonsky hypothesis** — "happy families are all alike; every unhappy family is unhappy in its own way."
- **Few ways to be happy** — narrow path is relational.
- **Family typology:** Cohesive 59% (warm/harmonious — happy model) / Enmeshed 22% (warm but meddling) / Disengaged 19% (cold/withdrawn).
- **Strong-tie investment** — very happy people socialize 11 more times/year with relatives, 7 more with neighbors, 5 more with friends.

Frank — Finding a Job You Love

- **Easterlin paradox** — once basic obligations met, more income doesn't buy more happiness; relative position dominates.
- **Mission alignment** — Cornell seniors demanded >80% premium to switch from anti-smoking to pro-tobacco.
- **Compensating differentials** — better-conditions jobs pay less.
- **Deliberate practice (Ericsson)** — many thousands of hours; only sustainable on work you love.
- **Flow (Csikszentmihalyi)** — substantial flow in work is a top-tier outcome.
- **Central thesis** — pursue work you love because it sustains the practice required for true expertise.

High-yield MCQ traps

- **Subjective happiness vs. objective quality (Easterlin)** — GDP up, happiness flat. NOT "money never matters."
- **Genetics vs. adaptation vs. social comparison** — three set-point drivers. Genetics = stable baseline; adaptation = absolute level resets; social comparison = relative standing.
- **Strong vs. weak ties** — both help; mechanisms differ.
- **Experiences vs. things vs. prosocial spending** — three distinct improvement levers.
- **Three mega-takeaways verbatim** — distractors paraphrase incorrectly. "Humans are irrational" is WRONG; slide says "insufficiently modeled."
- **Easterlin paradox vs. Kahneman-Deaton** — Easterlin = macro/over time; Kahneman-Deaton = individual/cross-sectional. Do NOT answer "$75K."

Likely exam patterns

- **50/40/10 split numeric recall** — distractors swap the numbers.
- **Mega-takeaways verbatim recognition** — strongest distractor: "humans are irrational."
- **Spending-category scenarios** — experiences (3 reasons) and prosocial (Dunn $20).
- **Set-point-stability mechanism recognition** — lottery → adaptation; Olympics bronze → comparison; twins → genetics.
- **Synthesis stems across modules** — "Other people matter" + Project Aristotle (M10) + social influence (M6) + diversity (M8).

Cross-cuts Synthesis

Four synthesis pages spanning multiple modules. The cumulative final favors questions that pull a scenario from one module and demand an answer from another. Read these cold to lock in cross-module patterns.

Cross-cut 1 — Cultural differences

Modules: M4 · M5 · M6 · M7 · M8 · M9

Why this matters

Cultural differences are Williams's recurring through-line: practices that work in NYC backfire in Beijing. The theme appears in 5+ modules, so MCQ synthesis stems can pull a scenario from one module and demand a cultural-dimension answer from another. The exam will reward students who can name *which* dimension is at play, not just "culture matters."

Hofstede's 5 dimensions (slide-listed in M4): uncertainty avoidance · long- vs. short-term orientation · masculinity vs. femininity · **power distance** · **individualism–collectivism**.

Module-by-module breakdown

- **M4 — Personality & Culture:** Talhelm rice-vs-wheat (within-China); individualism-collectivism master lens; cultural values originate in geography, economics, disease, climate, religion, crop type. Universalism vs. particularism for moral dilemmas.
- **M5 — Motivation:** Three allocation principles (merit / equality / need). Equity = individualist default; collectivist contexts may favor equality or need. Universal: desire for fair process. Varies: content of fair allocation.
- **M6 — Influence & Persuasion:** Reciprocity (Cialdini) can read as bribery in collectivistic cultures.
- **M7 — Power & Leadership:** Power distance describes cultures, not individuals. KAL 801 canonical PD scenario. Receiver- vs. transmitter-oriented. Korean Air's English mandate.
- **M8 — Social Identity & Diversity:** Culture shock from *small unrecognized* rule differences. Reducers: partner with shared rules + prior shock.
- **M9 — Negotiation:** Contract vs. relationship goal (Australia → Japan sugar). Direct vs. indirect communication. Slide bottom line: integrative travels better globally.

High-yield MCQ traps

- Distractors swap individualism with low power distance — they correlate but are *separate* Hofstede dimensions.
- "Cultural differences" answers usually require naming *which* dimension (PD vs. I-C vs. universalism/particularism).
- Rice-wheat is China-specific — northern (wheat) China looks more like the West than southern (rice) does.
- KAL 801 is canonical high-PD scenario; English-in-cockpit + mitigated-speech training is the PD-reduction intervention.
- High PD is NOT universally bad. Individualism is NOT "selfish."

- Universal: desire for fair process + interesting/autonomous work. Varies: allocation principle, contract-vs-relationship, directness, deference.

Cross-cut 2 — System 1 vs. System 2

Modules: M3 · M6 · M11

Why this matters

Kahneman's two-system model is the most heavily referenced single framework in OAM 330 — named the "master frame" of M3 and invoked again in M6 (central/peripheral routes) and M11 (ethical fading). Synthesis MCQs ask which system is operating in a given scenario or swap the System 1 / System 2 mapping in distractors.

> **The frame:** System 1 = limbic/amygdala, automatic, fast, effortless, NOT under conscious control, parallel — snap judgments, gut reactions, practiced routines. System 2 = prefrontal cortex, conscious, slow, effortful, requires attention. They run **simultaneously, not sequentially**. *"System 2 doesn't always know when System 1 is operating."*

Module-by-module breakdown

- **M3 — Decision Making:** Every M3 cognitive bias is a System 1 process System 2 fails to catch. Buckets: perception biases / evidence-handling / decision biases (ego protection + "we're not computers") / debiasing. Gilbert: avoid the situations that produce bias.
- **M6 — Influence & Persuasion:** Central route engages System 2 (durable); peripheral engages System 1 (fragile). All six Cialdini principles are peripheral.
- **M11 — Ethics:** Should-self vs. want-self gap is a System 2 / System 1 conflict. Ethical fading (System 1) drops ethics from awareness; visceral hot-state drives override deliberation. Memory revisionism (System 1) reconstructs the past so we still see ourselves as ethical.

High-yield MCQ traps

- Distractors reverse the mapping — claim peripheral engages System 2 or that Cialdini principles are central-route.
- Distractors claim the two systems run *sequentially*; they run *simultaneously*.
- "Slow down / be aware" looks like obvious debiasing — slides say awareness alone isn't enough (Gilbert).
- Ethical fading ≠ moral justification. Fading = System 1 not seeing the ethical issue. Justification = post-hoc rationalizing.
- Dunning-Kruger direction: less skill → MORE overconfidence (counterintuitive).
- System 1 is the *default*, not "bad" — it gives us reflexes we need.

Cross-cut 3 — Decision-making biases

Modules: M3 · M6 · M11

Why this matters

The bias catalog is an M3 centerpiece, but it doesn't stay there. M6 (Influence) is a list of peripheral-route levers that *exploit* these same biases, and M11 (Ethics) recasts the prediction → decision → recollection arc as biases

applied to moral choices.

Bias catalog (with sister biases)

Bias	One-line	Sister to confuse with
Availability	Judging by ease of recall (vivid → frequent)	Confirmation
Confirmation	Seek/weigh evidence that fits prior belief	Availability / motivated perception
Halo	One trait colors all judgments	SFP / hindsight
Overconfidence	Calibration failure forward (D-K, planning fallacy)	Hindsight
Hindsight	"Knew it all along"; outcome reshapes recalled belief	Overconfidence / halo
Anchoring	Initial number contaminates numeric estimates	Framing
Framing	Gain → risk-averse, loss → risk-seeking	Anchoring
Sunk cost	Escalate because of past investment	Anchoring / overconfidence
Motivated perception	See what you want/expect (Bruner & Goodman)	Confirmation
Self-fulfilling prophecy	Expectations change *target's* behavior	Halo / motivated perception

How biases reappear

- **M6 — Cialdini levers exploit System 1 biases:** social proof exploits availability + similarity heuristics; scarcity exploits loss aversion (framing); authority exploits halo; consistency exploits sunk-cost-style commitment; reciprocity exploits social-debt obligation; liking exploits halo via similarity.
- **M11 — Ethical errors are biases applied to moral decisions:** forecasting errors = overconfidence + planning-fallacy logic on moral self-prediction; ethical fading = motivated-perception kin (System 1 drops the ethical frame); memory revisionism = hindsight bias on one's own ethical history.

High-yield MCQ traps

- Sister-bias swaps are most common distractor: availability ↔ confirmation, anchoring ↔ framing, overconfidence ↔ hindsight, halo ↔ SFP.
- "Be more aware" answers to debiasing stems are usually wrong — Gilbert says structural fixes ("avoid the situation").
- Direction errors: D-K = less skill → MORE overconfidence; gain frame → risk-averse, loss frame → risk-seeking.
- Cialdini items often misclassify a peripheral lever as central-route — all six are peripheral.

Cross-cut 4 — Fairness and justice

Modules: M5 · M8 · M9 · M11

Why this matters

Fairness genuinely runs cross-module: equity theory frames it as input/output ratios in Motivation; distributive vs. procedural justice splits the construct; in Negotiation, fairness perceptions can override BATNA; in Ethics, fairness/reciprocity is one of the five Moral Foundations and Thomas & Ely's paradigm 1 makes it the moral case for diversity.

> **Two-axis frame:**
>
> - **Distributive justice** — was the *outcome* fair?
> - **Procedural justice** — was the *process* fair?
>
> Williams's headline counterintuitive finding: **procedural justice is the strongest predictor of job performance** — managers over-focus on outcomes; the data say *how* you decide matters more than *what* you decide.

Module-by-module breakdown

- **M5 — Motivation:** Equity theory (Adams; input/output ratios; relative not absolute — Solnick & Hemenway $50K when others earn $25K beats $100K when others earn $200K). Distributive vs. procedural justice. Three allocation principles: merit / equality / need. Distractor: equity (sideways) vs. expectancy (forward, multiplicative).
- **M8 — Social Identity & Diversity:** Thomas & Ely paradigm 1 (D&F) = moral/legal case. Distinguish from paradigm 2 (A&L) strategic/market.
- **M9 — Negotiation:** Always accept above BATNA, even if it "feels unfair" — Shapiro $7.4M EV BATNA, rejected $8.5M = Mode A. Olivia $31K reservation, accepted $32K = Mode B. Positions vs. interests (orange/peel-and-juice).
- **M11 — Ethics:** Fairness/Reciprocity is one of the five Moral Foundations. Discriminatory hiring is a Fairness violation, not Care.

High-yield MCQ traps

- Distributive vs. procedural — highest-frequency pair in this cross-cut.
- "Procedural is the stronger performance predictor" — counterintuitive, almost certain to be tested.
- Equity ≠ expectancy — comparison vs. multiplicative chain.
- Above-BATNA deals that "feel unfair" are still rationally accept-worthy (Malhotra/Shapiro).
- Cultural fairness preferences are not universal — equity is the individualist default; merit/equality/need is the trio. Desire for fair *process* is universal.
- Discrimination need not be intentional — disparate-impact standard.
- Fairness/Reciprocity vs. Care/Harm — discriminatory hiring is a Fairness violation, not Care.

Master Cram Sheet Appendix

The single most useful section for the morning of the exam. Every entry below is a real distractor pair flagged on a concept page. Memorize the **distinguishing feature** — that's what flips a 50/50 to a correct answer. Read each pair's distinguishing feature aloud. If you hesitate, re-read the relevant concept page.

Module 2 — Empirical Approaches

Pair	Distinguishing feature
Random assignment vs. random sampling	Assignment = how subjects go into conditions (internal validity / causation). Sampling = how subjects are selected (external validity / generalizability). Most labs have one but not the other.
RCTs vs. quasi-experiments	RCT = experimenter randomly assigns; quasi = uses natural/existing division. Quasi cannot establish causation cleanly.
RCTs vs. correlational study	RCT manipulates the IV; correlational only measures variables as they exist.
Three alternative explanations	Spurious / reverse direction / third variable. **Exactly three.** Trap distractors: "measurement error," "selection bias," "chance."
N-of-1 vs. correlation problem	N-of-1 = not enough cases. Correlation = even with many cases, can't infer causation without manipulation.
Correlation vs. causation	Correlation = measured association; causation = established only via experiment + random assignment.

Module 3 — Decision Making

Pair	Distinguishing feature
Availability vs. Confirmation	Availability = passive recall ease. Confirmation = active seeking.
Anchoring vs. Framing	Anchoring shifts a starting number (magnitude). Framing shifts risk preference (gain/loss).
Anchoring vs. Sunk cost	Anchoring = initial reference number. Sunk cost = past investment.
Overconfidence vs. Hindsight	Overconfidence = forward. Hindsight = backward. They reinforce each other.
Halo vs. SFP	Halo = perceiver-side trait generalization. SFP = target's *actual* behavior changes.
Halo vs. Hindsight	Halo recolors traits of actor. Hindsight recolors predictability of outcome.
Halo vs. Confirmation	Halo generalizes across traits of one target. Confirmation generalizes evidence search toward a belief.
Perception/reality vs. Motivated perception	P/R = general claim. Motivated = specific case where desires shape perception.
System 1 vs. System 2	S1 = fast, automatic, limbic. S2 = slow, effortful, prefrontal. Run *simultaneously*.

Pair	Distinguishing feature
Sunk cost vs. Framing	Sunk cost = pull of already-spent. Framing = present option presentation. Lost-ticket vs. lost-cash.

Module 4 — Personality & Culture

Pair	Distinguishing feature
MBTI vs. Big 5	MBTI = theory-driven, dichotomous, weak retest (~50% reclassify per Grant). Big 5 = empirical, continuous, modestly predictive.
MBTI vs. Barnum effect	MBTI feels accurate *because* of Barnum.
I-C vs. Power distance	I/C = group orientation. PD = acceptance of hierarchy. Different Hofstede dimensions.
Individualism vs. "selfish"	Slides frame I as authenticity/initiative, NOT selfishness.

Module 5 — Motivation

Pair	Distinguishing feature
Expectancy vs. Equity theory	Expectancy = forward effort→reward chain (multiplicative). Equity = sideways comparison to a referent.
Distributive vs. Procedural justice	Distributive = outcome fairness; procedural = process fairness. **Procedural is the stronger predictor.**
Equity theory vs. Distributive justice	Equity = the mechanism (input/output ratio). Distributive justice = the feeling.
Cultural-fairness allocation	Three principles: merit / equality / need. Equity = individualist default. Desire for fair process is universal.
Intrinsic/extrinsic corruption	Only contingent/expected rewards corrupt intrinsic motivation; unexpected don't (Lepper-Greene preschoolers).
Flow 2×2	High skill + high challenge = flow. Low+low = apathy. High skill + low challenge = boredom. Low skill + high challenge = anxiety.
Flow vs. job satisfaction	Flow = moment-to-moment state. Satisfaction = global evaluation.
Job-satisfaction–performance correlation	~.30 (medium). Distractor: "no relationship" or "very strong."

Module 6 — Influence & Persuasion

Pair	Distinguishing feature
Central vs. Peripheral	Central = System 2 argument quality, durable. Peripheral = System 1 cues, fragile. They co-occur.

Pair	Distinguishing feature
Scarcity vs. Social proof	Scarcity = "few can have it" (exclusivity). Social proof = "many are choosing it" (consensus). **Opposite signals.**
Authority vs. Social proof	Authority = vertical (defer to expert above). Social proof = horizontal (similar peers).
Liking vs. Social proof	Liking = one-to-one bond. Social proof = many-to-one peer behavior.
Reciprocity vs. Consistency	Reciprocity = repay another's gift. Consistency = honor your own prior statement.
Consistency ladder	Active + public + voluntary > active + public > active > passive. **Coerced backfires.**
Asch vs. Milgram	Asch = conformity to peers (74%). Milgram = compliance with authority (~2/3 to "XXX").
Order effects	Recency wins in serial-judgment competitions live. Primacy wins after delay.

Module 7 — Power & Leadership

Pair	Distinguishing feature
Power paradox vs. Power-changes-behavior	Paradox = circular self-defeating loop. Changes = three-item behavioral list (action↑, perspective↓, pressure↓).
Power paradox vs. Hubris syndrome	Paradox = general psychological pattern (10-min priming). Hubris syndrome = clinical disorder requiring sustained power + minimal constraint.
Power distance vs. Power-changes-behavior	PD = cultural/structural. Power-changes = individual-psychological.
Leader emergence vs. effectiveness	Emergence = perceived as leader. Effectiveness = produces good outcomes. **Emergent ≠ effective.**
Receiver- vs. Transmitter-oriented	High-PD: listener decodes. Low-PD: speaker is responsible. Drives mitigated speech (KAL 801).

Module 8 — Social Identity & Diversity

Pair	Distinguishing feature
D&F vs. A&L (Thomas & Ely)	Paradigm 1 = moral/legal / "right thing." Paradigm 2 = strategic/market / "profitable thing."
Stereotype threat vs. Stereotype tax	Threat = target's own performance drops (internal). Tax = career cost from others' bias (external).
Stereotype threat vs. Stigmatization	Stigmatization = interpersonal devaluing. Threat = internal hit even with no overt mistreatment.
Innovation vs. A&L	Better-ideas = internal problem-solving. A&L = external market access.
Why employees care	Authentic AND not conspicuous. Distractor: "to comply with anti-discrimination law" (org's reason).

Pair	Distinguishing feature
Social identity vs. Demographic diversity	Demographics = observable categories. Social identity = subjective importance.

Module 9 — Negotiation

Pair	Distinguishing feature
BATNA vs. Reservation price	BATNA = outside alternative. Reservation = the number it produces. Olivia ($31K res, accepted $32K = Mode B). Shapiro ($7.4M EV BATNA, rejected $8.5M = Mode A).
BATNA vs. Target point	Target = highest aspiration. BATNA = walk-away alternative.
BATNA vs. Fairness anchor	A "fair" number is NOT a BATNA. Shapiro should have accepted $8.5M.
Distributive vs. Integrative	1 issue, fixed-pie zero-sum, guarded info, anchor first / anger / deadline VS. multiple issues, expand-pie, open about goals.
Positions vs. Interests	Position = what I ask for. Interest = why. Compromise splits position; interests serve both in full (orange).

Module 10 — Groups & Teams

Pair	Distinguishing feature
Groupthink vs. Groupshift	Groupthink = suppressed dissent → artificial consensus. Groupshift = amplified majority → polarization.
Groupthink vs. Common-knowledge	Groupthink = dissent suppression. Common-knowledge = info-sampling failure (over-discuss shared). Grogan Air ~75% wrong VP.
Cohesion vs. Performance norms	Cohesion alone does NOT predict productivity. Productivity = cohesion × norms (Hawthorne: high cohesion + low norms → low output).
Social loafing vs. Groupthink	Loafing = effort reduction. Groupthink = dissent suppression.
Social loafing vs. Production blocking	Loafing = willful effort reduction. Production blocking = cognitive interference from many talking at once.
Brainstorming vs. NGT	NGT outperforms brainstorming on idea count *and* quality. Production blocking degrades brainstorming.
Mechanistic vs. Organic	Mechanistic = top-down/formalized/narrow span (Wal-Mart). Organic = fluid/distributed/wider span (Apple). Mechanistic ≠ inherently bad.
Punctuated equilibrium	Transition at midpoint, regardless of total time. Temporary deadline-driven groups only.
Psychological safety vs. Cohesion	Cohesion = bond. Psych safety = willingness to dissent. Direct opposite of groupthink. Project Aristotle.
Roles vs. Norms	Role perception (you) vs. expectations (others). Role conflict (within one) vs. interrole (across).

Module 11 — Ethics

Pair	Distinguishing feature
Ethical fading vs. Visceral	Fading = cognitive (Pinto cost-benefit). Visceral = bodily/affective (hunger, fear, anger). Both decision-stage.
Ethical fading vs. Moral justification	Fading = ethics never enters awareness. Justification = ethics acknowledged but explained away (post-hoc).
Moral justification vs. Social norms	Justification = internal rationale (Pythias Brown, Enron). Norms = external/social cue (pluralistic ignorance, Milgram).
Moral justification vs. Outcome focus	Justification = in one employee's head. Outcome focus = cultural/leadership-built (Pinto, Wells Fargo).
Moral inaction vs. Moral justification	Justification = rationalize one's own act. Inaction = fail to confront someone else's. ~2/3 non-reporting.
Moral inaction vs. Obedience	Obedience = active compliance with directive (Milgram). Inaction = passive failure to intervene.
Memory revisionism vs. Fading	Fading = ethics invisible at decision time. Revisionism = ethics re-read out of memory afterward.
Forecasting errors vs. Fading/visceral	Forecasting = before. Fading + visceral = at decision time. Revisionism = after.
Ethics antidote vs. Outcome focus	Direct opposites. Antidote = process + transparency + checks/balances + dissent (J&J 1982). Outcome focus = ends justify means (Enron).
Antidote vs. compliance training alone	Antidote is *culture*, not policy/training. Synergistic corruption (Enron) shows codes fail without culture.
Bounded ethicality vs. hypocrisy	Hypocrisy = awareness. Bounded ethicality = absence of awareness.
Want vs. Should self	Should = abstract / hypothetical / System 2. Want = concrete / live / System 1. 62% predict / 0% refuse.

Module 12 — Happiness & Wrap-up

Pair	Distinguishing feature
Three drivers (stability)	Genetics (Minnesota Twins) / adaptation (lottery + marriage adapt within ~2 yr) / social comparison (Olympics bronze > silver, Vladimir's Choice).
Improvement levers	Experiential > material (3 reasons: no comparison / hard to adapt / often social). Prosocial > self. Weak ties also help.
Happiness vs. Objective quality	Easterlin: GDP/plumbing/life expectancy soared; subjective happiness flat. Kahneman-Deaton: "wealth is like health."
Happiness consequences	Happiness as a *cause* of downstream goods. Longevity gain exceeds gain from not smoking.

Cross-module synthesis pairs

Pair	Distinguishing feature	Modules
D&F vs. A&L	Paradigm 1 (legal/moral) vs. 2 (strategic/market)	M8
Equity vs. Expectancy	Sideways comparison vs. forward chain	M5
Distributive vs. Procedural	Outcome vs. process; **procedural stronger predictor**	M5
Groupthink vs. Groupshift	Suppressed dissent vs. polarization	M10
BATNA vs. Reservation	Outside option vs. in-deal number	M9
Distributive vs. Integrative	Fixed-pie vs. expand-pie	M9
MBTI vs. Big 5	Popular/dichotomous/weak vs. empirical/continuous/predictive	M4
Fading vs. Justification	Decision-time invisibility (cognitive) vs. post-hoc rationalization	M11
Threat vs. Tax	Internal performance drop vs. external career cost	M8
Power paradox vs. Power-changes	Self-defeating loop vs. three behavioral effects	M7
Central vs. Peripheral	System 2 argument quality (durable) vs. System 1 cues (fragile)	M6
Scarcity vs. Social proof	Both spike urgency: rarity vs. consensus	M6
Random assignment vs. sampling	Allocation (causation) vs. selection (generalizability)	M2
Mitigated speech vs. Cialdini authority	Low-status softens up vs. listeners over-defer up	M6/M7

High-yield numeric anchors

Number	Where	Why
74%	Asch conformity (≥1 conformity); 75% in R&J	Definition-match
~.30	Job satisfaction-performance correlation	Counterintuitive but slide-explicit
18% → 35%	DAV reciprocity donation rate	Cialdini scenario
79.4 vs. 70.7	Gandhi anchoring (114 vs. 35); $F=6.90$, $p=.01$	Anchoring scenario
79% / 81%	Framing gain vs. loss gamble; Asian disease pair	Framing scenario
2,170 / 2,606	9/11 driving deaths vs. Twin Tower deaths	Availability scenario
32% → 66%	Playboy hindsight bias; $\chi^2(N=57)=6.35$, $p=.017$	Hindsight scenario
2/3	Milgram obedience to "XXX"; non-reporting rate	Norms / inaction
~75%	Grogan Air wrong-VP under divided info	Common-knowledge

Number	Where	Why
~50%	MBTI reclassification within weeks (Grant)	MBTI weakness
228 / r=.47	KAL 801 deaths; PD-crash correlation; loss rate 17× United's	Power distance
r ≈ .50 / 50%	Genetic share of life-satisfaction variance (twin studies)	Happiness stability
59% / 22% / 19%	Cohesive / enmeshed / disengaged families (Brooks)	Happiness reading
~80% / ~50%	Daffodil Days predicted vs. actual purchase	Bounded ethicality
62-68% / 0%	Sexual-harassment confrontation: predicted vs. actual	Want/should
$7.4M / $8.5M	Shapiro EV BATNA vs. rejected offer (Mode A)	BATNA
$31K / $32K	Olivia reservation vs. accepted (Mode B)	Reservation price
<$2K / 27 / $11	Pinto: target price / deaths / per-car fix forgone	Outcome focus
50 / 40 / 10	Happiness variance: genetics / intentional / circumstances	Happiness numeric

High-yield exact study-guide quotes

> ***3 alternative explanations for correlation:*** *spurious / reverse direction / third variable (NOT measurement error / chance / selection bias).*

> ***3 obstacles to experimentation:*** *impractical / impossible / unethical.*

> ***3 mega-takeaways:*** *(1) human behavior is predictable; (2) what we think ≠ reality; (3) other people matter.*

> ***4 enabling mechanisms of organizational misconduct (M11):*** *moral justification / social norms / outcome-focused culture / moral inaction.*

> ***Antidote pillars:*** *transparency / checks & balances / process focus / dissent.*

> ***3 conformity-reducers (Asch):*** *one ally, written answers, small group.*

> ***5 R&J social-loafing levers:*** *group goals / inter-group competition / peer evals / select for motivation / reward identifiable individual contributions.*

> ***7 R&J cohesion levers:*** *smaller / agreement on goals / time together / status of joining / external competition / group rewards / physical isolation.*

> ***Pink's three intrinsic drivers:*** *autonomy / mastery / purpose.*

Moral Foundations — 5 categories: *Care/Harm · Fairness/Reciprocity · Ingroup/Loyalty · Authority/Respect · Purity/Sanctity.*

Asian disease problem (framing): *"200 saved" → 72% safe; "400 die" → 78% gamble. Same outcome, opposite preference.*

Williams's irrationality framing: *"Humans aren't irrational, just insufficiently modeled. Human behavior is complex, but not random."*

OB definition: *"Organizational behavior uses scientific methodologies to understand and predict human behavior at work, aims to maximize individual and organizational success."*

Theme 1: *"Common sense is necessary — but not sufficient — for predicting human behavior in organizations."*

Gilbert quote (debiasing): *"Because the brain cannot see itself fooling itself, the only reliable method for avoiding bias is to avoid the situations that produce it."*

Kahneman-Deaton (M12): *"Wealth is like health — its utter absence breeds misery, yet having it is no guarantee of happiness."*

Final reminder: Read this cram sheet aloud the morning of the exam. Stop at any pair where you can't recite the distinguishing feature cold. The numeric anchors and the verbatim quotes are the highest-leverage memorization in the entire course.